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November 11, 1998

To: Members of the Executive Board

From: The Secretary

Subject: **Senegal—Staff Report for the 1998 Article IV Consultation and
Midterm Review Under the First Annual Arrangement Under the
Enhanced Structural Adjustment Facility**

Attached for consideration by the Executive Directors is the staff report for the 1998 Article IV consultation with Senegal and the midterm review under the first annual arrangement under the Enhanced Structural Adjustment Facility, which is tentatively scheduled for discussion on Wednesday, November 25, 1998. A draft decision appears on page 22.

Mr. François (ext. 38510), Mr. van den Boogaerde (ext. 38427), or Mr. Henstridge (ext. 37809) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Thursday, November 19, 1998; and to the African Development Bank (AfDB), the European Commission (EC), the Islamic Development Bank (IsDB), and the West African Economic and Monetary Union (WAEMU), following its consideration by the Executive Board.

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INTERNATIONAL MONETARY FUND

SENEGAL

**Staff Report for the 1998 Article IV Consultation and Midterm
Review Under the First Annual Arrangement Under the
Enhanced Structural Adjustment Facility**

Prepared by the African Department

(In consultation with the Fiscal Affairs, Legal, Monetary and
Exchange Affairs, Policy Development and Review,
Statistics, and Treasurer's Departments)

Approved by Ernesto Hernández-Catá and Jesús Seade

November 11, 1998

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EXECUTIVE SUMMARY

Recent developments

- Senegal has persevered with the sound macroeconomic policy stance adopted during the previous three-year program supported by a three-year ESAF arrangement, and implementation of the medium-term reform strategy has been broadly satisfactory. Recent economic and financial performance has been better than expected, but there were some delays in structural reforms.
- The quantitative performance criteria and benchmarks for end-June 1998 were observed, with the exception of technical deviations in three areas relating to debt management and domestic payment delays, for which corrective actions have been taken. Waivers are being requested. The structural performance criteria and benchmarks for end-July have been met. However, the call for bids for the privatization of the electricity company (SENELEC), a structural benchmark for August, was delayed until October.
- Despite a further reduction in agricultural output, economic growth is projected to increase to 5.7 percent in 1998, about $\frac{1}{2}$ of 1 percentage point above the program assumption. Inflation was negligible during the first half of the year; prices increased in the third quarter when food prices went up because of supply shortages, but inflation is expected to remain beneath the program objective (2.4 percent) for the year as a whole. The external current account deficit (excluding official transfers and before debt relief) is expected to be somewhat larger than programmed, mainly because of higher imports of foodstuffs and equipment. The Asian crisis thus far has not significantly affected the Senegalese economy.
- The fiscal targets for 1998 are expected to be met. Performance during the first half was better than programmed, as revenue collection was larger than forecast (despite significant reductions in external tariffs and in petroleum taxation) and continued restraint kept current government spending within budget limits.
- The first step in the comprehensive reform of the external tariff (undertaken in the context of the introduction of the common external tariff (CET) adopted by the members of the West African Economic and Monetary Union, WAEMU), and a major liberalization in the trading and pricing of petroleum products, were successfully implemented in April. Five public enterprises were privatized in the first nine months of 1998, but some delays were encountered in preparing for the privatization of other enterprises, including SENELEC. Steps have been taken to speed up the pace of the privatization program, and the list of enterprises to be privatized in 1999–2000 has been finalized.

Senegal: Selected Economic and Financial Indicators, 1996-2000

	1996	1997 Prel.	1998 Prog. Est.		1999 Program	2000
	(Annual percentage change)					
Real GDP	5.7	5.2	5.3	5.7	6.6	5.8
Consumer price index (average)	2.8	1.8	2.4	2.4	2.0	2.0
Broad money	10.8	7.3	11.0	8.1	9.2	...
	(In percent of GDP)					
Overall fiscal balance (excluding grants)	-2.2	-2.2	-2.0	-2.0	-0.8	-0.8
(including grants)	-0.2	-0.6	-1.0	-0.3	0.2	0.1
External current account balance (excluding official transfers)	-7.7	-7.6	-7.3	-7.2	-6.3	-6.3
(including official transfers)	-1.3	-1.6	-2.3	-1.8	-1.8	-2.2

Sources: Senegalese authorities; and Fund staff estimates and projections.

Issues emphasized in the staff appraisal

- The importance of preserving a sound fiscal position while continuing to implement the comprehensive external tariff reform in the context of the CET of the WAEMU. Balancing these objectives will require measures directed at improving government revenue and continuing prudent expenditure management, while shifting resources from low-priority areas in favor of human resources development and the social sectors.
- The urgency of deepening and accelerating the implementation of the broad-based structural reform program—in particular in the areas of privatization, the energy, transport, agriculture, and banking sectors, and the judiciary—in order to bolster private sector confidence and investment.
- The possibility of reviewing the medium-term macroeconomic framework next year to take into account more favorable external support for social and other priority spending.

I. INTRODUCTION

1. Discussions for the midterm review of the program supported by the first annual arrangement under the current three-year Enhanced Structural Adjustment Facility (ESAF) arrangement and for the 1998 Article IV consultation were carried out in Dakar during September 14-28, 1998.¹ In the attached letter and memorandum dated October 20, 1998 (Appendix I), the Minister of Economy, Finance, and Planning reviews progress made in the first half of 1998, surveys the outlook for the remainder of the year, and sets out the measures to be implemented during the remainder of 1998 and under the budget for 1999 to achieve the objectives of the program.

2. The Fund has continued to support Senegal's medium-term adjustment and reform strategy through a new three-year arrangement under the ESAF in an amount equivalent to SDR 107.01 million (90 percent of quota), approved on April 20, 1998.² The first annual arrangement thereunder was approved at the same time in an amount equivalent to SDR 35.67 million (30 percent of quota), and the first semiannual loan (SDR 17.8 million) was disbursed shortly thereafter. Availability of the second semiannual installment is contingent upon observance of the quantitative and structural performance criteria for end-June and end-July, respectively, and completion of the midterm review. If the planned disbursements under the ESAF arrangement and all repurchases and loan repayments are made as scheduled, Senegal's use of Fund resources would increase from SDR 205.3 million (172.7 percent of quota) at the end of September 1998 to SDR 238.2 million (200.3 percent of quota) by the end of December 2000. Senegal's relations with the Fund are summarized in Appendix II. Senegal is on the standard 12-month consultation cycle.

3. In concluding the last Article IV consultation on July 28, 1997, Directors noted the progress achieved in the area of macroeconomic stabilization and structural reforms, but they underscored that Senegal's economic situation remained fragile. In that context, they stressed the need to consolidate the improvement in the fiscal position and to strengthen the financial

¹The Senegalese representatives included Mr. Diagne, the Minister of Economy, Finance, and Planning; Mrs. N'Diaye, the Minister Delegate in charge of the budget; Mr. Sall, the Minister Delegate in charge of Planning; Mr. N'Diaye, the National Director of the Central Bank of West African States (BCEAO); and other senior government officials. Prime Minister Loum also received the mission. The staff representatives were Mr. François (head), Mr. De Vrijer, Mr. van den Boogaerde, Mr. Henstridge (all AFR), Mr. Chami (PDR), Ms. Simard (FAD), and Ms. Niaré (assistant-AFR). Mr. Dessart, the Fund's Senior Resident Representative in Senegal, assisted the mission. A parallel World Bank team was also in the field and participated in some of the discussions.

²A previous three-year arrangement under the ESAF, approved in August 1994, was successfully implemented and expired on January 12, 1998.

sector, and urged the authorities to fully implement the structural reform agenda envisaged in the program.

4. The World Bank has been supporting Senegal's development efforts through structural and sectoral adjustment lending, including four operations approved in 1997 in the sectors of health, urban development and decentralization, agricultural export promotion, and regional power; in addition, an energy sector adjustment credit equivalent to US\$100 million was approved in May 1998. A public expenditure review focusing on the education, health, and judicial sectors will be completed by the years' end and the recommendations will be implemented in 1999. The International Finance Corporation is involved in seven investments in Senegal in the areas of manufacturing and financial sector development. A Consultative Group meeting for Senegal, held in April 1998, secured donor support for the period 1998-2000. Senegal's relations with the World Bank Group are summarized in Appendix III.

5. Senegal's economic database is fairly comprehensive, although weaknesses remain with regard to coverage and internal consistency, in particular in the national accounts, and in data on industrial production, international trade, and the balance of payments. The introduction of a new accounting system for commercial banks continues to cause minor delays in the compilation of monetary statistics, but it has also led to some reclassifications and revisions of monetary data, which have improved their quality. Weaknesses in data collection and compilation, which have not prevented a meaningful assessment of economic policies, are being remedied with technical assistance from the Fund and other partners. The authorities have regularly been providing the core minimum data to the Fund. The statistical issues are summarized in Appendix IV.

6. The parliamentary elections held in May 1998 were won by the ruling Parti Socialiste, which carried 93 seats in parliament (out of a total of 140), albeit with a fairly low voter turnout. A new government was formed in July, with the former Minister of Finance, Mr. Mamadou Lamine Loum, becoming Prime Minister, and the former Minister delegate in charge of the Budget, Mr. Moustapha Diagne, becoming Minister of Finance. Insecurity continues in the southern province of Casamance, and the Senegalese army has been in the forefront of the efforts to protect the government in neighboring Guinea-Bissau against a military insurrection since June. Diplomatic initiatives toward a peaceful settlement of the crisis are under way, including mediation efforts conducted under the auspices of the Economic Community of West African States (ECOWAS) and a contact group of Portuguese-speaking African countries. The social climate in Senegal was intermittently tense during the summer, with sporadic strikes and demonstrations to protest the continued wage freeze and the arrest on grounds of sabotage of union leaders opposed to the privatization of the electricity company (SENELEC). Tensions have abated somewhat since September 1998.

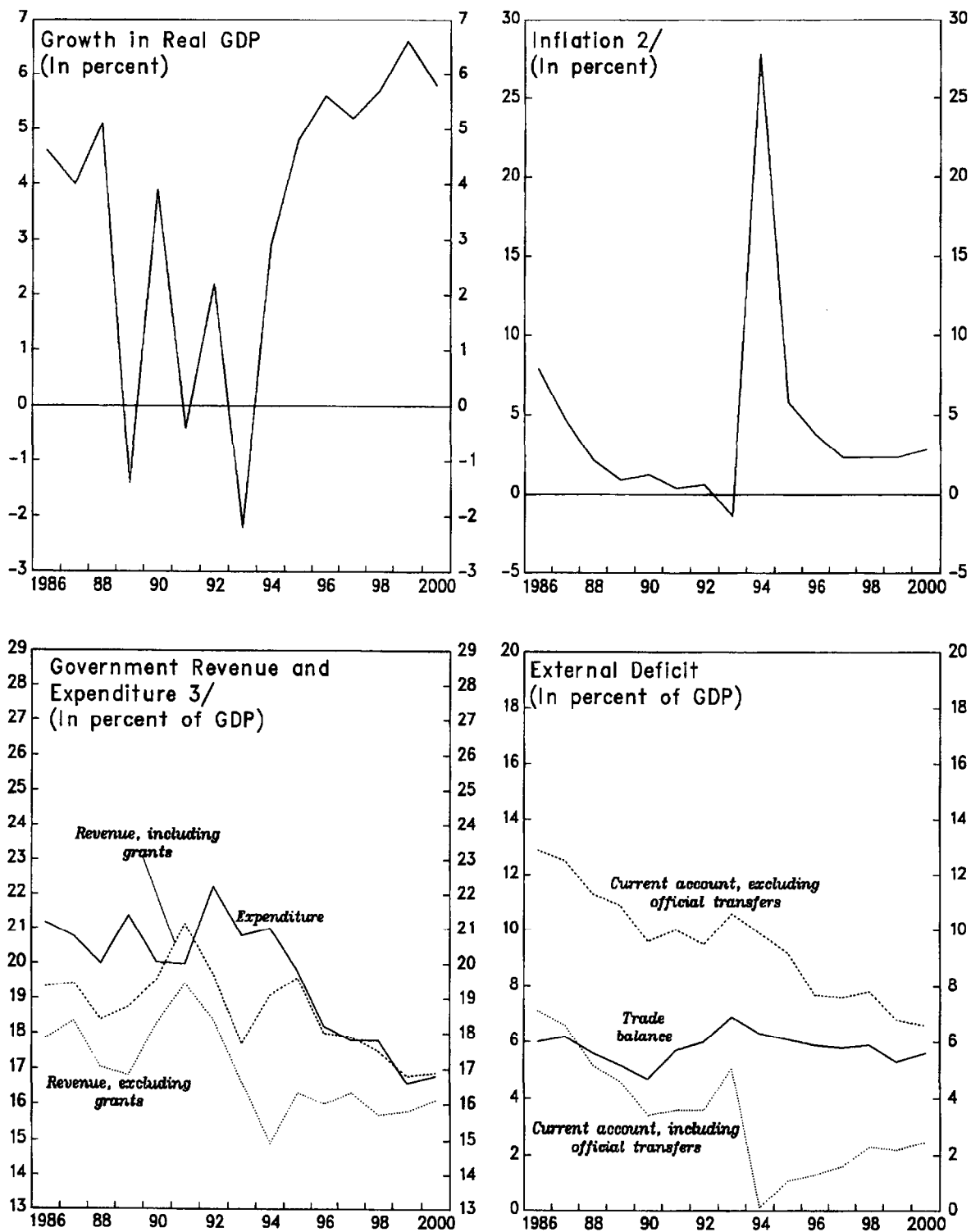
II. BACKGROUND AND RECENT ECONOMIC PERFORMANCE

7. On the economic front, **implementation of the authorities' strategy under the ESAF-supported program has been broadly satisfactory.** Most quantitative performance criteria and benchmarks for end-June 1998 were observed; however, there has been a technical nonobservance of three performance criteria,³ and waivers are being correspondingly requested. All quantitative indicators for end-June and structural performance criteria and benchmarks for end-July 1998 have been observed. However, the call for bids for the privatization of SENELEC, a structural benchmark for August, was completed only in early October.

8. **Economic developments so far in 1998 have been encouraging.** Despite a further reduction in agricultural output because of drought, continued robust growth in construction, commerce, and other private services is expected to help achieve a real GDP growth rate of 5.7 percent in 1998 (Figure 1 and Table 1), slightly higher than programmed. Prices were stable in the first half of the year, and, following weather-induced upward pressure on food prices in the third quarter, it is expected that price increases will abate in the latter part of the year, enabling the achievement of the programmed inflation target (2.4 percent) for the year as a whole. Senegal's competitive position has been fairly well maintained: the consumer price-based real effective exchange rate of the CFA franc so far in 1998 is approximately 30 percent below its pre-1994 devaluation level (Figure 2). Nonetheless, in the first half of 1998, the volume of exports grew by 3.8 percent compared with the same period in 1997, while the volume of imports increased substantially over the level of the previous year, reflecting an increase of both dutiable imports and foreign-financed capital goods (which are largely tax exempt).

³First, a nonconcessional loan from the regional development bank (BOAD) for the financing, together with neighboring countries Mali and Mauritania, of a hydroelectric power plant—which had been agreed in 1997 and anticipated in the 1997 program—was finally contracted only in April 1998, breaching the zero limit on the contracting of nonconcessional lending for this year. Second, an external payments arrear was incurred when, owing to poor coordination within the government, the Economic Promotion Fund did not fully settle an obligation to the African Development Bank on time; this arrear was cleared in June 1998. Third, some domestic payment arrears were incurred because of delays in settling contractual obligations to an international service company; however, the necessary provisions had been deposited with the central bank and discussions had taken place with the company concerning the payment terms, which have now been agreed.

Figure 1. Senegal: Main Economic Indicators, 1986-2000 1/



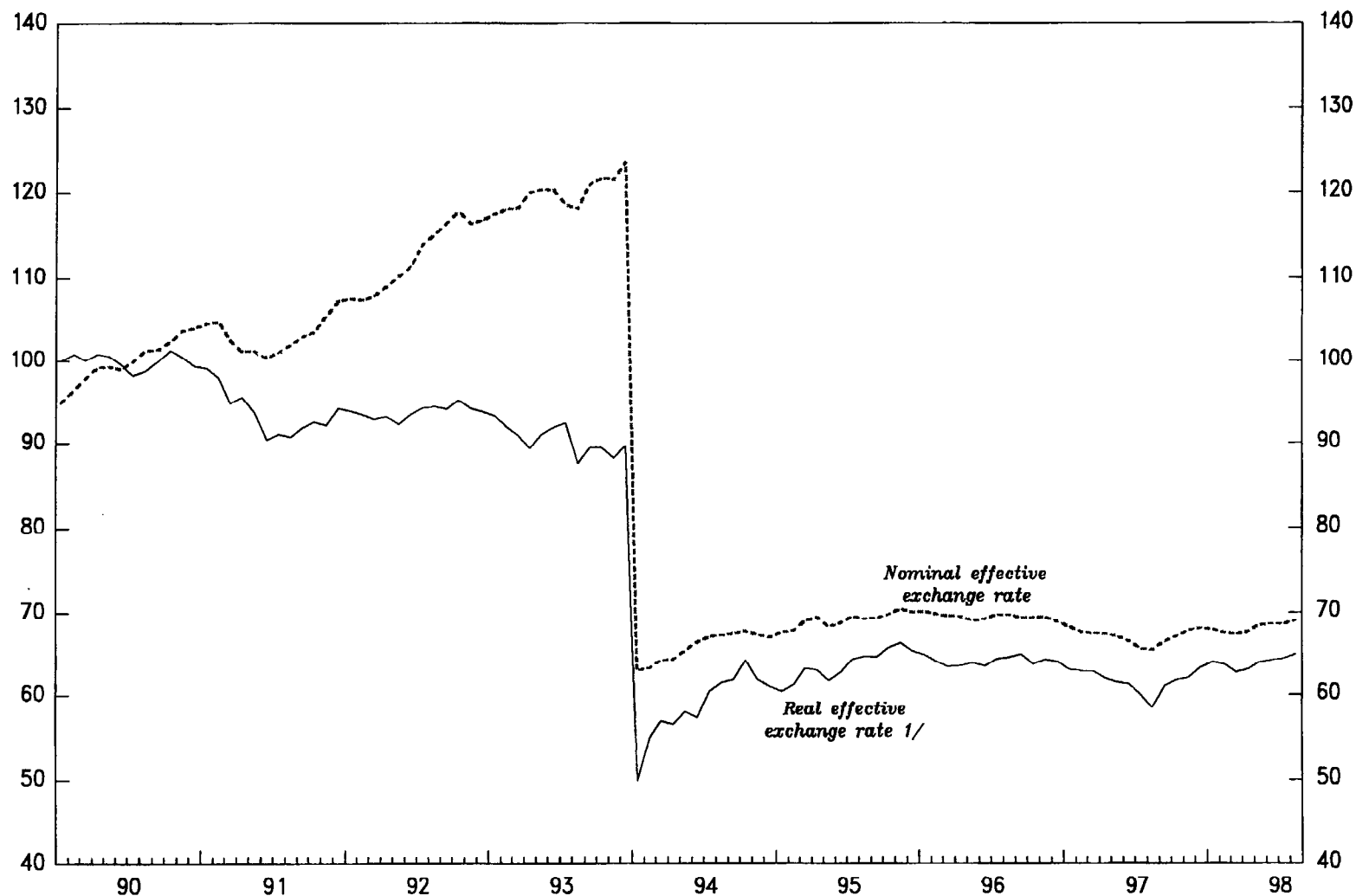
Sources: Senegalese authorities; and staff estimates and projections.

1/ Fiscal year ending June through 1991/92; on calendar-year basis starting in 1993.

2/ Percentage change in GDP deflator.

3/ Central government, on a commitment basis.

Figure 2. Senegal: Real and Nominal Effective Exchange Rates,
January 1990 – August 1998
(Period average; 1990=100)



Source: IMF, Information Notice System.

1/ Based on relative consumer price indices.

9. The **fiscal performance during the first half of 1998 was substantially better than programmed**. The overall deficit (excluding grants) was significantly below target, and the basic fiscal surplus⁴ was twice the programmed level. Government revenue was 9.3 percent above program projections, essentially because of the good performance in corporate income taxes and the earlier-than-expected payment of fishing license fees by the European Union. Revenue from international trade taxes was also higher than forecast, despite the reduction in tariffs introduced in April, because the level of dutiable imports was appreciably higher than expected. Revenue from petroleum taxes was less than expected, reflecting both the decline in international petroleum prices and delays in the payment of duties by the refinery (SAR) because of arrears owed to SAR by SENELEC. As a result of continued stringent expenditure management, spending was in line with program projections. Salary outlays were somewhat lower than anticipated, owing to a delay in implementing the merit-based promotion system in the civil service; meanwhile, capital expenditures were slightly above target, as the externally funded investment program was implemented faster than expected. A deficit reemerged on the special and correspondent accounts because of unscheduled advances granted by the treasury to the National Retirement Fund (FNR) and the Dakar Urban Community. According to preliminary indications, this favorable fiscal performance was sustained through end-September, with overall revenue well above—and salary outlays below—their targeted levels, and an overall basic budgetary balance twice as large as programmed.

10. Senegal's **monetary policy** is conducted at the regional level by the Central Bank of West African States (BCEAO). To thwart some inflationary pressures and to protect the external asset position of the zone, the BCEAO increased the reserve requirement rate from 1.5 percent to 5 percent and lifted its "pension" and discount rates by 0.25 percent in August. In line with the normal seasonal pattern, broad money was on the whole unchanged in the first half of 1998. Net domestic assets of the banking system fell somewhat, as a decline in net credit to the government was less than offset by the continued growth in credit to the private sector. There was a slight positive contribution to the net foreign asset position of the BCEAO. The banking system remained relatively healthy: all banks, except two, were profitable in 1997, and only one small bank needs recapitalization. However, while the rate of nonobservance of prudential ratios established by the regional banking commission is lower than two years ago, a number of ratios are still not being observed by some banks.⁵ The volume of delinquent loans rose somewhat in early 1998, with the ratio of net nonperforming assets to the total credit to the economy increasing from 8.9 percent at end-1997 to 10.4 percent at end-May 1998, though this remains a low level by regional standards. The five nonbank financial institutions met the required prudential ratios at end-1997.

⁴Defined as total revenue (excluding grants) minus total expenditure and net lending, excluding externally financed capital expenditure.

⁵Concerning in particular the liquidity ratio, the ratio of coverage of medium and long-term liabilities by medium and long-term assets, and the level of insider lending.

Box 1. Senegal: Summary of Main Structural Reforms for 1998-2000

Measures	Status
Public enterprises	
Privatization of SSPT (phosphate company), Teranga Hotel, HAMO (housing company), Dakar-Marine, and SONADIS (distribution company)	Completed
Launching of call for bids for the urban transport company (SOTRAC)	Done September 1, 1998
Final preparations for the sale of shares in five large public enterprises and three small ones for which the preparatory work is well advanced	By end-1998
After having launched the call for bids in October 1998, finalization of the sale of electricity company (SENELEC)	First quarter 1999
Completion of the privatization process through the sale of seven other public enterprises	1999-2000
Completion and delivery of a report on the financial performance of the main public enterprises in 1997	December 1998
Regulatory framework and governance	
Survey of the investors' "roadmap" and preparation of an action plan to streamline hindrances faced by private investors	By end-1998
Conducting of a users' survey on the quality of public services	By end-1998
Adoption of the eight uniform OHADA (harmonization of business law) instruments	Implemented
Readying for operations of the arbitration center in Dakar	December 1998
Energy policy	
Liberalization of import and distribution of petroleum products and implementation of a new price structure with automatic monthly adjustment of sales price	Done April 1998
Liberalization of electricity generation, transmission, and distribution	Done April 1998
Agricultural and fisheries policy	
Finalization of a priority investment program for the agricultural sector	December 1998
Adoption of new fishing code	Law adopted in April 1998
Trade reform	
Simplification of import taxation system and lowering of rates	Done April 1998
Rationalization of import surtaxes and elimination of import duty rebates	1999
Health sector	
Implementation of the 1998-2007 national health development plan (PNDS) and the five-year integrated health development program (PDIS), which for this year entails, inter alia	
• reorganization of the Ministry of Health and Social Action; and • transformation of the status of the national pharmacy, with a view to providing more management autonomy	December 1998 December 1998
Education sector	
Finalization of a ten-year medium-term expenditure framework (1998-2008) to achieve the target of universal enrollment by 2008, which implies, inter alia, the building and equipping of about 1,500 primary classrooms and the recruitment of 1,500 primary school teachers annually	March 1999
Governance	
Finalization of the consumer survey of quality of public services	December 1998
Reduction of poverty	
Intensification of the coordinated measures to help the most disadvantaged	Institutional framework for the conduct of the national poverty alleviation program adopted in April 1998

11. Progress on **structural reforms** has been made in several areas (Box 1), but there were also some delays. As a first step toward implementing the CET adopted by all countries of the West African Economic and Monetary Union (WAEMU), the authorities simplified the import taxation system (merging the customs and fiscal duty rates into a single tariff rate), and the unweighted rate of import taxation (including the 5 percent customs stamp duty) fell from an average of 29 percent in 1994–97 to 18 percent in April 1998. The rationalization of the surtaxes and the complete elimination of the import duty rebates for certain goods contingent on their end use, as prescribed by the *code des précisions*, has been postponed until early 1999, pending a comprehensive agreement among the WAEMU country members. The distribution, sale, and retail prices of petroleum products were liberalized, and a new petroleum taxation system was introduced in April, as scheduled. Prices are now adjusted monthly, and the lower world market prices have already been reflected in domestic prices. These reforms will also help to reduce the cost of the subsidies on butane gas and the fuel sold to SENELEC for electricity generation. Five public enterprises have been privatized so far in 1998 but some delays were encountered in preparing for the privatization of the other enterprises slated for privatization in 1998, including SENELEC. The reform of the legal and judicial system is proceeding as scheduled, as detailed in paragraph 12 of the attached memorandum.

III. POLICY DISCUSSIONS

12. The discussions were conducted in the context of Senegal's medium-term strategy, which seeks to consolidate the gains recorded under the previous three-year ESAF arrangement and to address the unfinished reform agenda needed to maintain domestic and external financial balances and achieve strong and sustained economic growth and a lasting reduction in poverty. The main medium-term macroeconomic indicators are presented in Box 2. The discussions focused in particular on the implementation of the ESAF-supported program in the first nine months of 1998, on the macroeconomic and structural policies required for the remainder of 1998, and on the draft budget for 1999. Particular attention was given to the areas where some delays had been experienced, in particular the rationalization of external trade taxation and the implementation of the privatization program. The authorities reconfirmed their strong commitment to the reform program and their determination to make up for the delays incurred.

Box 2. Senegal: Main Medium-Term Macroeconomic Indicators, 1998–2003						
	1998	1999	2000	2001	2002	2003
	Revised Program				Projections	
	(In percent of GDP, unless otherwise indicated)					
GDP (annual percentage growth)	5.7	6.6	5.8	6.1	6.0	6.0
Nonagricultural GDP (annual percentage growth)	7.0	6.3	5.8	6.1	6.0	6.0
Gross domestic investment	19.8	19.9	20.7	21.0	21.3	21.7
Public investment	6.1	5.7	5.7	5.7	5.7	5.7
Private investment	13.7	14.2	15.0	15.3	15.6	16.0
Gross domestic savings	14.0	15.0	15.4	16.8	17.9	18.5
External current account deficit (excluding transfers and after debt relief)	-7.2	-6.3	-6.3	-4.8	-3.8	-3.3
External debt-service ratio ¹ (after debt relief)	15.6	12.9	12.1	12.0	10.5	10.0
Fiscal accounts						
Total revenue (excluding grants)	15.7	15.8	16.0	16.2	16.3	16.5
Total expenditure	17.8	16.6	16.8	16.7	16.6	16.5
Basic fiscal balance ²	1.3	2.3	2.1	2.4	2.7	3.2
Overall balance (on a commitment basis)						
Excluding grants	-2.0	-0.8	-0.8	-0.5	-0.3	0.0
Including grants	-0.3	0.2	0.1	0.3	0.5	0.7
Domestic financing (net)	0.5	-0.5	-0.1	-0.3	-0.5	-0.7
Foreign financing (net)	-0.1	0.3	0.0	0.0	0.0	0.0
Stock of public debt						
Domestic	9.0	7.6	6.5	5.4	4.6	3.8
External	68.4	63.5	58.1	53.1	48.4	44.0

Sources: Senegalese authorities; and Fund staff estimates and projections.

¹The ratio of debt-service payments (after debt relief) to exports of goods and nonfactor services.

²Defined as total revenue (excluding grants) minus total expenditure and net lending, excluding externally financed capital expenditure.

13. The main **macroeconomic objectives** for 1998 remain largely unchanged from those specified in the memorandum on economic policies and the medium-term policy framework paper of February 1998.⁶ As noted, overall economic growth for 1998 is now expected to reach 5.7 percent, driven by the good performance of the construction, commerce, and other services sectors. This stronger-than-projected growth has boosted private savings slightly above the programmed level. In turn, this outcome, together with stronger-than-targeted public savings and an increased inflow of foreign assistance, has led to a higher-than-projected

⁶The Asian financial crisis thus far has not significantly affected the Senegalese economy. The marked decline in world oil prices has more than offset the falling prices of the principal commodities exported by Senegal, notably groundnuts and fishing products, resulting in an improvement of the terms of trade of about 4 percent. However, Senegal's exports of manufactured goods are likely to face increased competition in third countries' markets for canned fish and textile products.

increase in investment. Total gross domestic investment is expected to be close to 20 percent of GDP, well above the program target and nearer to the goal of 21 percent of GDP set for the year 2000; private investment is expected to reach 13.7 percent of GDP, versus a programmed 13.1 percent (Table 2). As noted, average inflation for the year is projected to be in line with program targets.

14. The **external current account deficit** (excluding official transfers and before debt relief), at 7.7 percent of GDP in 1998, would be about $\frac{1}{2}$ of 1 percentage point of GDP higher than programmed, essentially owing to a sharp increase in externally funded imports of capital goods. This increase was made possible by higher-than-assumed levels of official transfers and net capital inflows (both public and private), as the implementation of structural reforms and gradual improvements in investment programming allowed the absorption of greater inflows of aid and private investments⁷ without jeopardizing fiscal and external sustainability. Once debt relief granted by the Paris Club in June 1998 is taken into account (see Box 3), the current account deficit should be close to the targeted level. Senegal's contribution to the foreign assets of the BCEAO is projected to be larger than originally assumed. Following the Paris Club stock-of-debt operation, Senegal has initiated discussions with Paris Club creditors and expects to conclude the agreements before end 1998. Similarly, the authorities have approached non-Paris club creditors to request debt relief on terms comparable to Paris club creditors, but this process could take longer to finalize.

15. With respect to **fiscal policy**, the positive results in the first part of the year and the government's intention to continue with appropriately restrained policies augur well for achieving the program's fiscal targets for the year as a whole. The overall deficit (on a commitment basis and excluding grants) is expected to be equivalent to 2 percent of GDP in 1998, as initially programmed (Table 3). As grants are likely to exceed projections, the deficit after grants should be only 0.3 percent of GDP. This will be achieved with total tax revenue in line with program projections, though with a higher-than-expected level of taxes on imports offset by a lower-than-programmed level of VAT on domestic products, since the strong performance of VAT receipts in the last quarter of 1997 was insufficiently discounted as a catch-up effect resulting from legal changes in the timing of payment for telephone services. Nonetheless, the mission stressed the need to move more decisively in implementing measures to broaden the tax base, curtail exemptions, and improve tax administration to achieve the revenue targets. In particular, the dysfunctional protective tariffs on rice imports will be reviewed and streamlined before end-1998. On the expenditure side, the authorities intend to swiftly implement the merit-based promotion system and to restrict the number of civil servants to below the present level of 67,000. The cost of the military intervention in Guinea-Bissau so far has been limited to 0.1 percent of GDP, as it has covered only food and

⁷Private capital for the years 1998–2000 is projected to be higher than initially programmed on account of larger privatization proceeds and an increase in private direct investment, particularly in the phosphate company (ICS), which is undertaking large development projects.

operational premiums.⁸ Other current expenditures for this (and next) year will be higher than programmed because subsidies on sales of butane gas and fuel for electricity generation are now shown explicitly rather than netted out from taxes on petroleum products. Adequate allocations will continue to be made to the priority sectors of health and education, and the FNR will be reformed in early 1999. It was agreed that the savings resulting from lower interest payments following the stock-of-debt operation obtained from the Paris Club (0.5 percent of GDP in 1998) will be used mainly to settle a number of unforeseen obligations in the areas of social assistance and restructuring of public enterprises.⁹

Box 3. Paris Club Stock-of-Debt Operation with Senegal, June 1998

An agreement was reached on June 17, 1998 between official bilateral creditors¹ and Senegal on a stock-of-debt operation under Naples terms, with a 67 percent net present value (NPV) reduction of all eligible debt. The total debt stock subject to reduction was estimated at US\$465 million. Senegal had previously obtained 11 Paris Club reschedulings over the 1983–95 period, with January 1, 1983 as the cutoff date. In the context of assessing Senegal's potential for eligibility under the HIPC Initiative, a loan-by-loan debt sustainability analysis was carried out before the latest Paris Club meeting. On the basis of this analysis, the authorities agreed that following the stock-of-debt operation, Senegal's external debt situation would be sustainable. Therefore, the stock-of-debt reduction operation is an exit agreement, and Senegal is not expected to return to the Paris Club in the future.

The agreement was comprehensive and covered all principal and arrears on interest (excluding late interest) on medium- and long-term pre-cutoff-date debts, including the topping up to Naples terms on debt previously rescheduled. More specifically, non-Official Development Assistance (ODA) debts contracted before the cutoff date include (i) debt not previously rescheduled; (ii) debt previously rescheduled on Toronto terms, with the concessional element topped up to Naples terms; (iii) debt rescheduled on London terms, with topping up to Naples terms; and (iv) debt previously rescheduled on nonconcessional terms. However, amounts falling due during June 1998–December 2000 (essentially the remainder of the current ESAF commitment period) on Toronto terms debt and deferred nonconcessionally under the Naples terms rescheduling of 1995 were deferred again nonconcessionally over 11 years, with 1-year grace period. With respect to ODA debt, it will be fully rescheduled over 40 years with 16 years' grace at interest rates at least as favorable as the concessional rates applying to those loans. Out of nine non-ODA creditors, five chose the debt-reduction option and the remaining the debt-service reduction option.²

The deadline for signing bilateral agreements is March 31, 1999, and the *de minimis* threshold was set at SDR 1 million. The agreement included a swap clause where by outstanding credits could be exchanged for aid or equity, with a limit of 20 percent or SDR 30 million, whichever is higher, on non-ODA loans.

¹Belgium, Canada, Denmark, France, Italy, Japan, the Netherlands, Norway, Spain, the United Kingdom, and the United States. Observer countries were Germany and the Russian Federation.

²Canada, the Netherlands, Norway, the United Kingdom, and the United States chose the debt-reduction option; Belgium, France, Italy, and Spain chose the debt-service-reduction option.

⁸Current military outlays in 1997 accounted for 12.5 percent of total current expenditure.

⁹Including provision of foodstuffs to the regions affected by drought, coverage of the FNR's structural deficit, and severance payments to the employees of SOTRAC, which will be liquidated before the year-end.

16. The main elements of the draft **budget for 1999** will be in line with the medium-term policy framework. On a commitment basis and excluding grants, the overall budget deficit is now targeted at 0.8 percent of GDP, somewhat lower than initially projected, and the surplus in the basic budgetary balance at 2.3 percent of GDP, 0.2 percent of GDP higher than originally programmed. These outcomes will be achieved through further efforts to improve tax and customs administration, as summarized in Box 4, and through continued expenditure restraint, including on salaries. Revenue is forecast at 15.8 percent of GDP, slightly lower than the initially programmed 16 percent of GDP, essentially to allow for a reduction in the personal income tax as an alternative to granting a general salary increase for civil servants. The impact of this measure has been limited at CFAF 6 billion. The authorities agreed to rationalize the system of import surcharges and reference values and to eliminate the remaining import duty rebates available through the *code des précisions* by January 1999, in the context of implementing WAEMU's common temporary import surtaxes.¹⁰ They decided to postpone the introduction of a single valued-added tax (VAT) rate until January 1, 2000 to coincide with the further reduction in tariff protection under WAEMU's common external tariff¹¹ and with the program for harmonizing domestic taxation. For precautionary reasons, estimates of petroleum tax revenue and the level of subsidies on butane and fuel for electricity generation are based on international prices 10 percent higher than in September 1998, and the overall amount of subsidy is capped accordingly. The government intends to eliminate the deficit of the Retirement Fund (0.1 percent of GDP in 1998) through full implementation of the reform measures prepared in consultation with the International Labor Organization. With the assistance of the World Bank, the authorities will improve policy formulation in the sectors of health, education, and justice in the context of completing the sectoral public expenditure reviews, and improve the preparation, execution, and monitoring of the rolling three-year investment program for 1999–2001. Following progress made in the collection of data previously not reported by donors, all investments implemented by government agencies, including those directly financed by grants, will be included in the traditional tables on government financial operations from 1999 onward.

¹⁰A regional agreement on temporary protection measures (import surtaxes and possibly customs valuation rules) is expected to be adopted before end-1998. The Fund and World Bank staffs have provided advice in this matter, insisting, inter alia, that those measures be consistent with WTO rules.

¹¹In order to comply with WAEMU's CET, to be effective on January 1, 2000, Senegal will need to reduce the maximum duty rate applied to category IV goods (mainly finished goods) from 25 percent to 20 percent and to replace the customs stamp duty of 5 percent by a statistical fee of 1 percent.

**Box 4. Senegal: Main Tax Policy and Administrative Measures
to Improve Revenue Performance, 1999–2000**

The authorities will enact the following measures in 1999–2000:

- introduce a single VAT rate in January 2000;
- improving the presumptive tax system at the import and wholesale stages to be credited against payment of domestic taxes;
- rationalize the system of import surcharges and reference values and eliminate special tariff arrangements under the *code des précisions* in the context of the implementation of WAEMU's common safeguard measures;
- reduce broad tax exemptions and exclude the VAT from all exemption schemes in the context of the adoption of a common investment code by all WAEMU member countries;
- establish a centralized large-taxpayers' unit to improve the monitoring and control of large-taxpayers' activities;
- use effectively the new taxpayer identification system (NINEA) by substituting it for the other identification systems used at customs and the tax departments.
- simplify the tax system for small businesses, including through the use of presumptive methods of taxation;
- develop an audit strategy to increase the frequency of targeted audits and to improve the selection of taxpayers to be audited;
- improve and extend the customs' computer system (GAINDE);
- reinforce customs clearance controls, in particular on the valuation of goods; and
- implement a customs warehousing procedure for petroleum products.

17. The **monetary policy** pursued by the BCEAO continues to be prudent, as evidenced, in particular, by the appropriate steps taken in August 1998 to thwart incipient inflationary pressures and capital outflows. Senegal's broad money is projected to increase by about 8 percent in 1998, marginally faster than nominal GDP (Table 5). Net credit to the government is programmed to grow by 4.5 percent, and credit to the economy is expected to increase by 10.9 percent, sufficient to meet the continued credit needs of the buoyant secondary and tertiary sectors. Senegal's contribution to the net foreign assets of the BCEAO will be more substantial than initially envisaged in the program. Given the more favorable fiscal outlook and the methodological changes that have been introduced in reporting monetary statistics, the ceilings on net bank credit to the central government at end-December 1998 have been revised downward.

18. The BCEAO will continue to improve the instruments of indirect management of monetary policy at its disposal and to develop a broader range of savings instruments. In this regard, the regional stock market, which began its operations in Abidjan in September 1998, will help increase the efficiency of intermediation between private savings and investments. Continued efforts are needed to develop and strengthen the financial sector, so as to better mobilize savings and ensure an efficient allocation of credit. The adequacy of the prudential ratios applied by the regional banking commission is being reviewed toward better meeting international standards. The government will intensify its support of the regional banking commission's efforts to regularly inspect deficient banks and to enforce the compliance with all prudential ratios by banks operating in Senegal. It will also focus on monitoring the development and solvency of microfinance and mutual saving and loan institutions.¹²

19. In the **structural area**, the authorities are particularly committed to accelerating the privatization process in order to keep to the original timetable. Final preparations will be made by the year's end for the sale of shares in five large and three small public enterprises¹³ (instead of the total of three initially planned). Following the call for bids on October 13, high priority will be given to the selection of an appropriate strategic partner for SENELEC and to the effective transfer of management at the latest during the first quarter of 1999. To complete the privatization process, the authorities have drawn up a list of enterprises to be privatized in 1999–2000, seven of which will be put up for sale in 1999. At the end of this restructuring exercise, which started in 1994, only a very small number of public enterprises will remain state owned, and these are essentially engaged in tasks unlikely to be readily assumed by the private sector (utilities, industrial or commercial promotion, or social services). The report on the economic and financial performance of the main public enterprises in 1997 was delayed from its July 1998 due date because time was needed to audit the enterprises' accounts, but it will be made available before end-1998. The government will facilitate in the last quarter of 1998 the conduct of the survey on the investors' "roadmap," which will lead to the adoption of a plan of action to streamline obstacles faced by private investors. The consumer survey of the quality of public services, scheduled to be held before end-June 1998, was delayed but will be held before the end of the year.

¹²In Senegal the government recognizes credit unions (*mutuelles*)—a cooperative which belongs to its members—and local savings institutions (*caisses d'épargne et de crédit*). The regulation of the former is being developed in the context of a regional initiative to establish a common system of registration and regulation, including prudential norms, and a government guarantee for deposits. The latter have no guarantee, and are regulated using a less restrictive set of norms. In addition, there are numerous small financial institutions, such as village associations (*groupements*) which operate with no formal government recognition.

¹³SENELEC, the groundnut industry (SONACOS), the urban transport company (SOTRAC), the cotton ginneries (SODEFITEX), the Méridien-Président Hotel, two industrial promotion companies (SONEPI and SODIDA), and a weaving company (MSAD).

20. The **development of human resources**, as described more fully in paragraphs 56-68 of the policy framework paper, aims at ensuring better access to quality health care, controlling population growth, improving the availability, effectiveness, and quality of education, enhancing the status of women, and alleviating poverty. It is for the most part guided by the national poverty alleviation program adopted in December 1997 and the recently adopted ten-year (1998–2007) national health development plan (PNDS) and the five-year (1998–2002) integrated health development program (PDIS). A ten-year expenditure framework for education is expected to be finalized before end-March 1999 in collaboration with the World Bank and other donors. In this framework, the authorities are committed to implementing the following actions:

- program-based budgeting in health, which will require the revision of the budget process to allow increased flexibility in intrasectoral resource allocation for the Ministry of Health and improved investment expenditure monitoring;
- new education policies, which will involve improving the access to, and quality of, basic and secondary education, adjusting technical and vocational training to labor market needs, and introducing cost recovery in higher education, resulting in a significant reallocation of intrasectoral resources; and
- an intensification of the coordinated measures to help the most disadvantaged social groups, including, inter alia, through the promotion of micro- and small-scale enterprises, development plans for poor urban neighborhoods and rural communes, and the implementation of the local nutrition program.

IV. MEDIUM-TERM OUTLOOK FOR THE BALANCE OF PAYMENTS AND DEBT SUSTAINABILITY

21. The medium-term outlook for the balance of payments was revised in light of the recent developments in the external sector, including changes in commodity prices; meanwhile the original macroeconomic assumptions are virtually unchanged.¹⁴ On the assumption that the value of exports would increase at a slightly more rapid pace than imports, and that the balance of services would improve beginning in 1999, the external current account deficit (excluding official transfers and after debt relief) is projected to decline by a little more than 1 percent of GDP over the program period, from 7.6 percent of GDP in 1997 to 6.3 percent in the year 2000, and then to continue narrowing to 3.3 percent of GDP by 2003 (Table 6). Assuming a gradual reduction in official transfers, the external current account deficit, including official transfers, is projected to increase slightly from 1.6 percent of GDP in 1997 to 2.2 percent in 2000, followed by a sharp reduction to 0.1 percent of GDP in 2003.

¹⁴See "Senegal - Request for Arrangements Under the Enhanced Structural Adjustment Facility," (EBS/98/68; 4/6/98).

22. An assessment of Senegal's **external debt situation** at the end of 1997 and its sustainability in a long-term perspective was prepared in February 1998.¹⁵ On the basis of this analysis, the country's external debt was judged by the Executive Boards of the Fund and the Bank to be sustainable under the terms of the Initiative for Heavily Indebted Poor Countries (HIPC). The broad conclusions of this analysis remain valid. Senegal is expected to continue to pursue a prudent debt-management policy and to implement sound economic, financial, and structural policies. Taking into account the debt relief obtained from Paris Club and other bilateral creditors, external debt service as a percentage of exports of goods and nonfactor services will remain modest, declining from 13 percent in 1998 to 10 percent in 2003. Debt service to the Fund is projected to be between 1.5 percent and 2 percent of exports of goods and nonfactor services over the 1998–2006 period, and to decline thereafter. Given Senegal's excellent record in meeting its debt-service obligations to the Fund and its low debt ratios, its ability to repay future obligations to the Fund is expected to remain very strong.

V. STAFF APPRAISAL

23. The Senegalese authorities have persevered with the sound macroeconomic policy stance adopted during the previous three-year ESAF arrangement. Achievements have been commendable, with a significant reduction in financial imbalances, containment of inflation, and notable progress in a number of structural areas, including trade liberalization and energy sector reforms. The overall economic and financial prospect for 1999, including the main elements of the 1999 draft budget, are also favorable. The good macroeconomic management and the gradual lessening of distortions over the past four years have started to elicit a good supply response in the secondary and tertiary sectors, which have led the recent expansion in output. However, overall growth remains below potential, and a significant reduction in poverty has not yet been achieved because of repeated delays in reforming a number of key, deep-rooted structural rigidities. The authorities should forcefully implement the structural reform agenda, while continuing to pursue macroeconomic stability and efficiency, so as to enhance the credibility of the government's adjustment program and bolster private sector confidence and investment. These actions are crucial to put the economy on the path of long-term sustainable growth and to achieve a lasting reduction in poverty.

24. From this perspective, the authorities should concentrate their efforts in the following two areas:

- **Persevere with fiscal consolidation.** It is essential to preserve the improved fiscal position while implementing the comprehensive external tariff measures under way in the context of WAEMU's CET reform. To this end, the government needs to rationalize the

¹⁵See "Senegal - Request for Arrangements Under the Enhanced Structural Adjustment Facility," (EBS/98/68; 4/6/98), Appendix II.

system of import surcharges and reference values, and to eliminate the remaining import duty rebates for certain industries by January 1, 1999. Also, the authorities should carefully prepare measures to compensate for possible government revenue losses following the implementation of the second phase of tariff reductions on January 1, 2000. These measures should include a broadening of the tax base, a sharp reduction in exemptions, a further improvement in tax administration, and, in particular, the introduction of a single-rate VAT. In parallel, there should be a continued restraint in expenditure management and a shift of resources from the government wage bill and low-priority expenditures (including military outlays) toward the areas of human resources development, in particular, education, health, basic infrastructure, and the judicial system.

- **Strengthen the implementation of a market-driven, private sector-based development strategy.** Senegal's growth performance remains hampered by delays in implementing structural reforms and in addressing deep-seated structural rigidities. The authorities are encouraged to move as expeditiously as possible to liberalize the regulatory framework and to implement their structural reform program, in particular in the areas of privatization and in the transport and agricultural sectors. In this regard, it is important that the authorities continue their efforts to build a broad-based constituency for reforms so that the government is better able to address the concerns of labor or special interest groups determined to oppose them.

25. The government's near- and medium-term macroeconomic objectives are fully achievable in the absence of large unfavorable supply-side shocks. The external prospects appear generally favorable, as exports are increasing and prospects for sustained donors support are better than originally envisaged. Donors have indicated their readiness to increase funding on very concessional terms, with a larger proportion to be directed to social sectors. This funding would provide the opportunity to accelerate the implementation of urgent social and other priority programs without burdening the policy of fiscal consolidation. If confirmed, such forward-looking aid commitments would provide welcome room for fiscal policy that could be usefully explored for 1999 and beyond. To avoid jeopardizing fiscal and external sustainability, however, it will be essential that revenue performance continue to improve and that the budgetary control mechanisms be strengthened to ensure the effectiveness of the expenditures.

26. In view of the technical nature of the nonobservance of the performance criteria, the corrective actions taken, the progress made thus far, and the authorities' strong commitment to the successful completion of the program, the staff supports the authorities' request for waivers and recommends that the present midterm review under the first annual ESAF arrangement be completed.

27. It is proposed that the next Article IV consultation with Senegal be held on the standard 12-month cycle.

VI. PROPOSED DECISION

The following draft decision is proposed for adoption by the Executive Board to complete the review:

Senegal - Midterm Review Under the First Annual ESAF Arrangement

1. Senegal has consulted with the Fund in accordance with paragraph 2(*d*) of the first annual arrangement under the Enhanced Structural Adjustment Facility for Senegal (EBS/98/68, Supplement 1; 4/20/98) and paragraph 4 of the letter of the Minister of Economy, Finance, and Planning dated February 27, 1998, attached to the arrangement.
2. The letter dated October 20, 1998 from the Minister of Economy, Finance, and Planning with an annexed memorandum shall be attached to the first annual arrangement and the letter of February 27, 1998 from the Minister of Economy, Finance, and Planning, together with its attached memorandum of economic and financial policies of Senegal for 1998–2000, shall be read as supplemented and modified by the letter dated October 20, 1998.
3. The Fund determines that, notwithstanding the nonobservance of the quantitative performance criteria, the midterm review contemplated in paragraph 2(*d*) of the first annual arrangement has been completed and that Senegal may request the disbursement of the second loan specified in paragraph 1(*b*) of the same.

Table 1. Senegal: Selected Economic and Financial Indicators, 1995-2000

	1995	1996	1997 Est.	1998 Prog. Rev. Prog.		1999 Projections	2000
(Annual percent change, unless otherwise indicated)							
National income and prices							
GDP at constant prices	4.8	5.7	5.2	5.3	5.7	6.6	5.8
Of which : nonagriculture GDP	5.7	5.1	7.0	6.6	7.0	6.3	5.8
Consumer prices							
Annual average	8.5	2.8	1.8	2.4	2.4	2.0	2.0
End of period	5.5	2.4	1.9	...	...	...	...
External sector							
Exports, f.o.b. (in CFA francs)	8.7	4.2	7.9	7.1	5.8	10.4	7.1
Imports, f.o.b. (in CFA francs)	6.4	7.5	7.6	5.9	6.5	7.6	8.5
Export volume	7.3	2.1	1.6	7.3	5.2	9.5	5.0
Import volume	5.0	4.2	3.0	9.0	10.2	6.6	6.0
Terms of trade (deterioration -)	0.0	-1.1	0.8	2.9	4.8	-0.2	-0.4
Nominal effective exchange rate	4.9	-2.1	-3.5	...	...	...	...
Real effective exchange rate	8.5	-2.4	-3.7	...	...	...	...
Government financial operations							
Revenue	21.5	7.7	9.6	3.4	3.7	9.7	10.6
Total expenditure and net lending	4.7	0.8	9.6	6.9	3.4	1.9	9.7
(Changes in percent of beginning-of-year broad money, unless otherwise indicated)							
Money and credit							
Net domestic assets	-2.0	3.7	-8.6	11.2	3.8	4.4	...
Domestic credit	1.2	8.2	-18.6	11.2	8.9	4.8	...
Credit to the government (net)	-0.6	-4.4	-27.4	6.0	1.4	-1.5	...
Credit to the economy	1.8	12.6	8.8	5.2	7.4	6.4	...
Broad money (M2)	9.2	10.8	7.3	11.0	8.1	9.2	...
Velocity (end-of-period)	4.6	4.5	4.5	4.7	4.5	4.5	...
Interest rates (end of period; in percent)							
Discount rate	7.5	6.5	6.0	...	...	...	...
Money market rate	6.0	5.0	3.8	...	...	...	...
(In percent of GDP)							
Overall fiscal surplus or deficit (-)							
Commitment basis, excluding grants	-3.5	-2.2	-1.5	-2.0	-2.0	-0.8	-0.8
Commitment basis, including grants	-0.2	-0.2	0.1	-1.0	-0.3	0.2	0.1
Gross domestic investment	16.9	17.4	18.7	19.2	19.8	19.9	20.7
Gross domestic savings	11.3	11.9	13.2	13.8	14.0	15.0	15.4
Gross national savings (including official transfers)	15.8	16.1	17.1	16.9	17.5	17.8	18.3
External current account deficit (-)							
Excluding official transfers	-9.2	-7.7	-7.6	-7.3	-7.7	-6.6	-6.6
Including official transfers	-1.1	-1.3	-1.6	-2.3	-2.3	-2.2	-2.5
Domestic public debt	14.0	12.6	11.0	8.8	9.0	7.6	6.5
External public debt (after debt relief)	76.6	77.3	73.1	71.0	68.0	62.6	56.4
(In percent of exports of goods and nonfactor services, unless otherwise indicated)							
External public debt service (before debt relief)	20.1	18.6	19.5	18.7	18.5	15.8	16.2
In percent of government revenue	42.4	38.3	39.4	38.4	38.1	32.1	31.4
GDP at current market prices (in billions of CFA francs)	2,242.9	2,459.2	2,639.8	2,860.5	2,855.5	3,112.1	3,386.6

Sources: Senegalese authorities; and staff estimates and projections.

Table 2. Senegal: Selected National Accounts Indicators, 1995-2000

	Composition of GDP in 1997 (in percent)	1995	1996	1997 Est.	1998 Prog. Rev. Prog.		1999 Projections	2000 Projections
(Annual percentage change in constant prices)								
Primary sector	19.0	0.8	7.5	-2.2	-1.1	-0.7	7.5	5.8
Agriculture	8.9	-2.9	10.9	-10.6	-8.7	-7.9	10.2	6.0
Livestock	7.1	4.1	4.0	5.4	5.0	5.8	5.1	5.0
Fishing	2.4	8.0	5.3	11.8	8.0	5.8	7.3	8.0
Forestry	0.7	2.0	2.0	2.0	2.0	2.0	2.0	2.0
Secondary sector	19.7	9.8	7.3	6.4	8.6	8.9	7.3	7.1
Mining	0.2	0.0	-10.8	9.8	10.0	15.0	7.0	7.0
Industry	12.3	9.7	5.4	4.3	6.4	6.7	6.5	7.0
Oil milling	0.4	12.4	-9.1	-20.9	5.0	16.9	9.0	6.0
Energy	1.9	5.0	4.3	6.5	6.4	5.4	7.0	9.0
Construction and Public work	5.0	12.5	17.5	14.9	15.0	15.0	9.0	9.0
Tertiary sector	61.3	4.7	4.5	7.3	6.2	6.6	6.1	5.4
Transportation	11.6	4.9	4.0	12.0	6.5	9.9	8.0	7.5
Commerce	20.9	5.3	5.6	7.4	7.0	7.3	6.5	6.0
Public Administration	9.2	0.8	0.8	0.8	0.7	0.8	0.9	0.7
Other	19.6	6.0	5.6	7.8	7.9	6.8	6.8	5.6
GDP	100.0	4.8	5.6	5.2	5.3	5.7	6.6	5.8
Nonagriculture GDP	91.1	5.7	5.1	7.0	6.6	7.0	6.3	5.8
GDP deflator	...	5.8	3.5	2.3	2.4	2.3	2.3	2.8
(In percent of nominal GDP)								
Gross domestic investment		16.9	17.4	18.7	19.2	19.8	19.9	20.7
Government 1/		5.2	5.2	5.6	6.1	6.1	5.7	5.7
Nongovernment		11.7	12.2	13.1	13.1	13.7	14.2	15.0
Gross domestic savings		11.3	11.9	13.2	13.8	14.0	15.0	15.4
Government 1/		4.2	5.2	6.1	5.8	5.9	6.3	6.5
Nongovernment		7.1	6.7	7.1	8.0	8.1	8.6	8.9
Investment - Savings balance		-5.6	-5.5	-5.5	-5.4	-5.8	-5.0	-5.3
Government		-1.0	0.0	0.5	-0.3	-0.2	0.6	0.8
Nongovernment		-4.6	-5.5	-6.0	-5.1	-5.6	-5.6	-6.1
External current account balance 2/		-1.1	-1.3	-1.6	-2.3	-2.3	-2.2	-2.5
Gross national savings 2/		15.8	16.1	17.1	16.9	17.5	17.8	18.3

Sources: Senegalese authorities; and Fund staff estimates and projections.

1/ Central government.

2/ Including official transfers.

Table 3. Senegal: Government Financial Operations, 1995-99

	1995	1996	1997	1998		1999	
				Prog	Rev. Prog	Prog	Rev
(In billions of CFA francs)							
Total revenue and grants	439.7	442.0	476.2	476.9	499.8	527.9	522.2
Revenue	366.2	394.3	432.2	446.9	449.4	500.4	492.1
Tax revenue	330.3	369.3	401.1	429.9	427.9	484.8	476.5
Nontax revenue	35.9	25.0	31.1	17.0	21.5	15.6	15.6
Grants	73.5	47.7	44.0	30.0	50.4	27.5	30.1
Of which							
capital grants	30.0	30.0	32.1	30.0	30.0	27.5	27.5
Total expenditure and net lending	444.7	448.1	490.9	505.1	507.7	531.9	517.4
Current expenditure	316.6	312.6	317.6	335.7	327.0	354.0	343.9
Wages and salaries	157.5	162.6	160.4	166.0	165.1	174.3	167.5
Interest due	64.5	55.9	58.6	63.8	48.8	61.9	50.3
Of which							
External 1/	55.8	45.9	47.5	54.1	39.9	51.2	40.8
Other current expenditure	94.6	94.1	98.6	105.9	113.1	117.8	126.1
Capital expenditure	117.7	127.6	166.0	173.8	173.8	177.9	177.9
Domestically financed	35.7	41.6	57.5	78.8	78.8	80.0	80.0
Externally financed 2/	82.0	86.0	108.5	95.0	95.0	97.9	97.9
Treasury special accounts and correspondents (net) 3/	-10.4	-7.9	-7.3	4.4	-6.9	0.0	4.4
Overall fiscal balance (commitment basis, including grants)	-5.0	-6.1	-14.7	-28.1	-7.9	-4.0	4.8
Adjustments to cash basis	-60.4	0.0	2.7	-2.7	-2.7	0.0	0.0
(change in payments arrears)	-60.4	0.0	2.7	-2.7	-2.7	0.0	0.0
Domestic arrears	-14.9	0.0	0.0	0.0	0.0	0.0	0.0
External arrears	-45.5	0.0	2.7	-2.7	-2.7	0.0	0.0
Overall fiscal balance (cash basis, including grants)	-65.4	-6.1	-12.0	-30.8	-10.6	-4.0	4.8
Financing	65.4	6.1	12.0	30.8	10.6	4.0	-4.8
External financing	80.5	36.0	54.4	-27.3	-2.7	-27.2	9.4
Drawings	81.6	79.5	109.2	51.5	61.5	55.0	75.0
Treasury	29.6	23.5	2.4	1.5	11.5	0.0	20.0
Project loans	52.0	56.0	61.4	50.0	50.0	55.0	55.0
Other 4/	0.0	0.0	45.4	0.0	0.0	0.0	0.0
Amortization due 1/	-73.1	-72.7	-72.0	-78.8	-65.5	-82.2	-66.9
Debt relief	77.6	36.2	24.3	0.0	0.0	0.0	0.0
Paris Club deferral	-5.6	-7.0	-7.1	0.0	0.0	0.0	0.0
Domestic financing	-15.1	-29.9	-42.4	18.2	13.3	-21.2	-14.2
Banking system	-14.2	-23.6	-156.5	32.7	6.8	-21.6	-11.3
Nonbank borrowing	6.0	-7.9	17.1	4.2	4.2	3.4	3.4
Privatization receipts 5/	0.0	0.0	93.2	1.2	28.5	0.0	0.0
Other 6/	-6.9	1.6	3.8	-19.9	-26.2	-3.0	-6.3
Financing gap	0.0	0.0	0.0	39.9	0.0	52.4	0.0
(in percent of GDP, unless otherwise indicated)							
Total revenue and grants	19.6	18.0	18.0	16.7	17.5	16.9	16.8
Of which							
Revenue	16.3	16.0	16.4	15.6	15.7	16.0	15.8
Of which : tax revenue	14.7	15.0	15.2	15.0	15.0	15.5	15.3
Total expenditure and net lending	19.8	18.2	18.6	17.7	17.8	17.0	16.6
Of which							
Current expenditure	14.1	12.7	12.0	11.7	11.5	11.3	11.1
Of which							
Health	0.7	0.8	0.8	0.7	0.7	0.8	0.8
Education	3.4	3.4	3.3	3.1	3.1	3.0	3.0
Defense	1.8	1.7	1.6	1.4	1.5	1.3	1.3
Capital expenditure	5.2	5.2	6.3	6.1	6.1	5.7	5.7
Overall fiscal balance							
Commitment basis, excluding grants	-3.5	-2.2	-2.2	-2.0	-2.0	-1.0	-0.8
Commitment basis, including grants	-0.2	-0.2	-0.6	-1.0	-0.3	-0.1	0.2
Basic fiscal balance 7/	0.2	1.3	1.9	1.3	1.3	2.1	2.3
Memorandum items:							
GDP (in billions of CFA francs)	2,242.9	2,459.2	2,639.8	2,860.5	2,855.5	3,121.5	3,112.1

Sources: Senegalese authorities; and staff estimates and projections.

1/ The external debt-service figures include all debt directly contracted by the government and part of the government-guaranteed debt serviced by the government; for the projections, the latter is assumed to be 30 percent. Starting in 1998, includes the impact of the Paris Club stock-of-debt reduction.

2/ starting in 1997, financed with capital grants, project loans, and the use of a project loan from Taiwan Province of China that was disbursed in 1997.

3/ Deficits are added to expenditure, while surpluses are deducted.

4/ The amount shown for 1997 represents a tranche from loan received from Taiwan Province of China.

5/ In 1999, not included, given the uncertain nature of these receipts and need for conservative estimates.

6/ Includes repayment of extrabudgetary arrears (CFAF 16.9 billion in 1998) and errors and omissions.

7/ Defined as total revenue minus total expenditure and net lending, excluding externally financed capital expenditure.

Table 4. Senegal: Detailed Government Revenue, 1995-99

	1995	1996	1997	1998		1999	
	Actual			Prog.	Rev. Prog.	Prog.	Rev. Prog.
(In billions of CFA francs)							
Tax revenue	330.3	369.3	401.1	429.9	427.9	483.8	476.5
Taxes on income and property	80.1	85.0	94.3	102.2	103.9	116.5	110.3
Individual	44.5	45.8	53.7	57.9	55.2	60.7	54.7
Corporate	24.4	26.3	29.0	31.2	35.1	41.7	40.5
Other income taxes	10.9	12.5	11.0	12.4	12.8	13.3	14.5
Property taxes	0.3	0.4	0.6	0.7	0.7	0.8	0.6
Taxes on Goods and Services (excluding petroleum)	119.9	135.8	158.7	182.5	172.8	204.6	197.8
Value-added tax on domestic products	56.0	68.2	82.8	98.3	83.9	114.4	99.6
Value-added tax on imports	38.6	42.1	48.1	52.7	55.8	59.3	60.9
Presumptive taxes on the informal sector	4.5	4.5	4.9	4.9	5.3	5.7	4.6
Excises	6.7	6.5	4.2	5.5	5.0	4.9	6.2
Registration duties	5.6	5.6	9.3	8.8	7.0	9.5	9.3
Others	8.5	8.9	9.4	12.3	15.7	10.8	17.1
Taxes on petroleum products	33.3	32.7	39.4	56.6	55.7	68.1	73.1
Customs duties	16.8	17.2	20.8	15.7	13.8	9.6	6.6
Value-added tax	16.5	15.5	18.6	23.5	21.0	23.2	23.7
Excise tax	0.0	0.0	0.0	17.4	20.9	35.3	42.8
Taxes on imports (excluding petroleum) 1/ 2/	97.0	115.8	108.7	88.6	95.6	94.6	95.4
Nontax revenue	35.9	25.0	31.1	17.0	21.5	15.6	15.6
Fishing rights	10.3	0.0	8.3	8.0	7.9	8.0	7.9
Stabilization	21.9	20.1	7.5	2.0	4.1	0.0	0.0
Others	3.7	4.9	15.3	7.0	9.5	7.6	7.7
Total revenue	366.2	394.3	432.2	446.9	449.4	499.4	492.1
(In percent of GDP)							
Tax revenue	14.7	15.0	15.2	15.0	15.0	15.5	15.3
Taxes on income and property	3.6	3.5	3.6	3.6	3.6	3.7	3.5
Taxes on goods and services (excluding petroleum)	5.3	5.5	6.0	6.4	6.1	6.6	6.4
Taxes on petroleum products	1.5	1.3	1.5	2.0	1.9	2.2	2.3
Taxes on imports (excluding petroleum)	4.3	4.7	4.1	3.1	3.3	3.0	3.1
Nontax revenue	1.6	1.0	1.2	0.6	0.8	0.5	0.5
Total revenue	16.3	16.0	16.4	15.6	15.7	16.0	15.8
Memorandum items:							
(In billions of CFA francs)							
GDP	2,242.9	2,459.2	2,639.8	2,860.5	2,855.5	3,121.5	3,112.1
Non petroleum imports c.i.f.	...	729.6	787.5	...	828.5	...	876.7
Direct imports	621.4	646.6	681.6	728.1	741.6	779.8	789.8
Of which: dutiable	492.9	516.4	557.1	603.1	560.1	669.8	600.2
From bonded warehouses	...	83.0	105.9	...	86.9	...	86.9
Of which: dutiable	...	62.8	78.8	...	71.2	...	71.2
Petroleum imports c.i.f.	68.9	90.2	111.5	107.5	103.2	116.4	118.7
(In percent)							
Petroleum taxes/petroleum imports	80.1	58.5	42.1	54.5	57.9	58.5	61.6
Taxes on imports (exc. pet.)/non petroleum imports 3/	19.7	22.4	19.5	14.7	17.1	14.1	15.9
Taxes on imports (exc. pet.)/non petroleum imports 4/	...	20.0	17.1	...	15.1	...	14.2

Sources: Senegalese authorities; and staff estimates and projections

1/ Includes the customs duty, the fiscal duty, the customs stamp and surtaxes

2/ Surtaxes generate at most CFAF 1 billion in revenue in any given year

Table 5. Senegal: Monetary Survey, 1995-99¹

	1995	1996	1997	1998		1999
				Prog.	Rev. Prog.	Proj.
(In billions of CFA francs; end of period)						
Net foreign assets	-105.1	-70.2	15.6	1.4	40.7	68.1
Central Bank of West African States (BCEAO)	-126.1	-98.0	-21.1	-13.8	-2.5	24.9
Commercial Banks	21.0	27.8	36.7	15.2	43.2	43.2
Net domestic assets	593.1	611.1	564.8	602.1	587.0	617.4
Net domestic credit	643.8	683.8	583.3	617.9	634.9	665.3
Net credit to the government	357.1	335.6	187.3	235.3	195.7	186.2
Central bank	330.7	269.4	152.1	201.2	168.3	172.8
Commercial banks	24.6	66.4	35	32.6	25.9	11.9
Other institutions	1.8	-0.2	0.2	1.2	1.5	1.5
Credit to the economy	286.7	348.2	396.0	382.6	439.2	479.1
Other items (net)	-50.7	-72.7	-18.5	-15.8	-47.9	-47.9
Broad money (M2)	488.0	540.9	580.4	603.5	627.7	685.5
Currency outside banks	152.1	142.0	142.8	160.5	148.3	161.7
Demand deposits	158.9	189.4	199.9	195.8	230.1	250.8
Time deposits	177.0	209.5	237.7	247.1	249.3	273.0
(Changes in percent of beginning-of-period money stock)						
Net foreign assets	11.2	7.2	15.9	-0.2	4.3	4.4
BCEAO	9.4	5.8	14.2	-0.2	3.2	4.4
Commercial banks	1.8	1.4	1.6	0.0	1.1	0.0
Net domestic assets	-2.0	3.7	-8.6	11.2	3.8	4.8
Net credit to the government	-0.6	-4.4	-27.4	6.0	1.4	-1.5
Credit to the economy	1.8	12.6	8.8	5.2	7.4	6.4
Other items (net)	-3.2	-4.5	10.0	0.0	-5.1	0.0
Broad money (M2)	9.2	10.8	7.3	11.0	8.1	9.2
Memorandum items	(In percent, unless otherwise indicated)					
Velocity (annual average)	4.6	4.5	4.5	4.7	4.5	4.5
Nominal GDP growth	10.9	9.4	7.6	7.9	8.2	9.0
Credit to the economy/GDP	12.8	14.2	15.0	13.4	15.4	15.4

Sources: Senegalese authorities; and Fund staff estimates and projections.

¹ Excluding the balance sheets of the liquidated banks, and, except in the 1998 program column, using the data from the new commercial banks' accounts forms, which has allowed a revision of the classification of foreign and domestic assets, as well as the classification of government and nongovernment deposits. These revisions have affected the levels of net foreign domestic assets and the bank deposits, but their trend changes remain broadly as before, which enables the monetary program to be monitored as before.

Table 6. Senegal: Balance of Payments, 1995-2003

	1995	1996	1997 Prel.	1998 Rev. Proj.	1999	2000	2001 Projections	2002	2003
(In billions of CFA francs, unless otherwise indicated)									
Trade balance	-136.9	-143.9	-153.6	-167.7	-164.0	-186.8	-152.2	-125.5	-119.9
Exports, f.o.b.	483.5	504.5	544.2	575.7	635.6	680.6	758.3	844.0	909.7
Of which: fish products	47.9	51.3	120.4	137.2	146.2	162.9	170.6	181.2	196.0
Imports, f.o.b.	-620.4	-648.4	-697.8	-743.4	-799.6	-867.4	-910.6	-969.5	-1,029.6
Of which: petroleum	-60.6	-79.4	-98.0	-90.8	-104.6	-120.6	-131.2	-137.0	-144.0
Services (net)	-78.7	-57.8	-58.7	-64.9	-56.2	-50.0	-44.8	-40.5	-37.3
Credits	311.7	322.5	339.5	353.4	373.2	394.7	411.4	428.6	445.3
Of which: investment income	14.4	14.8	15.3	15.8	16.2	16.7	17.2	17.7	18.3
Debits	-390.4	-380.2	-398.3	-418.3	-429.4	-444.7	-456.2	-469.1	-482.6
Of which: interest on public debt	-65.6	-58.6	-59.0	-58.7	-57.7	-55.2	-52.3	-48.0	-43.6
Unrequited transfers (net)	190.7	169.3	170.5	167.9	152.8	153.1	153.6	153.1	152.6
Private (net)	19.8	20.5	21.2	21.8	22.5	23.2	23.9	24.6	25.3
Public (net)	170.9	148.8	149.3	146.0	130.3	130.0	129.8	128.5	127.3
Of which: gross official transfers	180.7	157.4	158.1	155.0	139.5	139.3	139.3	138.2	137.2
Current account balance (deficit -)	-24.9	-32.3	-41.9	-64.7	-67.3	-83.6	-43.4	-12.9	-4.6
Current account balance (excluding gross official transfers)	-205.6	-189.7	-200.0	-219.7	-206.8	-222.9	-182.7	-151.2	-141.8
Capital account	33.5	31.2	98.8	58.9	66.4	47.6	15.2	15.0	22.9
Public sector (net)	37.7	33.9	44.2	6.8	14.9	-22.8	-24.8	-30.0	-27.1
Drawings	109.6	103.5	117.8	81.5	95.0	80.0	80.0	75.0	75.0
Amortization due 1/	-71.9	-69.6	-73.6	-74.7	-80.1	-102.8	-104.8	-105.0	-102.1
Other capital	-4.2	-2.7	54.6	52.1	51.5	70.4	40.0	45.0	50.0
Deposit money banks	-8.1	7.6	-8.9	-6.5	0.0	0.0	0.0	0.0	0.0
Other 2/	3.9	-10.3	63.5	58.6	51.5	70.4	40.0	45.0	50.0
Overall balance (deficit -)	8.6	-1.1	56.9	-5.9	-0.9	-36.0	-28.2	2.1	18.3
Debt relief 3/	77.9	29.2	15.8	27.2	28.3	43.3	35.4	37.4	34.0
Financing	-86.5	-28.1	-72.8	-21.3	-27.4	-7.3	-7.2	-39.5	-52.3
Net foreign assets (BCEAO)	-41.0	-28.1	-76.9	-18.6	-27.4	-7.3	-7.2	-39.5	-52.3
Operations account and other	-62.0	-23.0	-68.8	-11.6	-36.7	-22.0	9.6	-22.9	-29.9
Net use of Fund resources	21.0	-5.1	-8.1	-7.0	9.3	14.7	-16.8	-16.6	-22.4
Drawings	41.1	17.7	28.6	28.8	28.3	28.3	0.0	0.0	0.0
Repayments	-20.1	-22.8	-36.8	-35.8	-18.9	-13.6	-16.8	-16.6	-22.4
Payments arrears (reduction -)	-45.5	0.0	2.7	-2.7	0.0	0.0	0.0	0.0	0.0
(In percent of GDP, unless otherwise indicated)									
Current account (excluding debt relief)									
Including gross official transfers	-1.1	-1.3	-1.6	-2.3	-2.2	-2.5	-1.2	-0.3	-0.1
Excluding gross official transfers	-9.2	-7.7	-7.6	-7.7	-6.6	-6.6	-5.0	-3.9	-3.4
Current account (after debt relief)									
Including gross official transfers	-1.1	-1.3	-1.6	-1.8	-1.8	-2.2	-1.0	-0.2	-0.1
Excluding gross official transfers	-9.2	-7.7	-7.6	-7.2	-6.3	-6.3	-4.8	-3.8	-3.3
External debt service (after debt relief) 3/ 4/	11.4	15.0	17.7	15.6	12.9	12.1	12.0	10.5	10.0
Export of goods and nonfactor services	31.7	33.1	32.9	32.0	31.9	31.3	31.8	32.3	32.1
Exchange rate (CFA francs per SDR)	757.2	742.7	803.2	807.0	...	...	...	...	...
(CFA francs per US dollar)	499.1	511.6	583.7	602.7	...	...	...	...	...

Sources: Senegalese authorities; and Fund staff estimates and projections.

1/ After debt cancellation, including French debt from beginning of 1996 and before Paris Club stock-of-debt reduction in 1998.

2/ Including private capital and errors and omissions.

3/ Includes Paris Club deferral (1995-97), debt cancellation (1995) and the stock-of-debt operation (1998).

4/ In percent of exports of goods and nonfactor services.

Table 7. Senegal: Indicators of Fund Credit and Debt Servicing, 1997-2007

	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007
	(In percent)										
Outstanding Fund credit/quota 1/	182.1	174.8	184.7	200.3	182.6	165.1	141.6	112.1	82.0	54.0	31.5
Outstanding Fund credit/GDP 1/	6.6	6.8	6.4	6.3	5.4	4.6	3.8	2.9	2.1	1.5	1.1
Outstanding Fund credit 2/	20.0	20.9	19.8	20.0	17.0	14.4	11.9	9.2	6.8	4.8	3.7
Gross Fund financing/financing needs 3/	13.0	15.2	13.9	12.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Debt service to the Fund 2/	4.4	1.4	2.1	1.4	1.6	1.4	1.8	2.1	2.0	1.6	0.9
Debt service to the Fund/Total debt service	23.8	8.9	13.0	8.8	10.5	10.6	14.1	13.3	19.0	17.6	11.1
Total debt service before rescheduling 2/	19.5	18.5	15.8	16.2	15.1	13.5	12.6	15.6	10.5	9.2	8.0
Debt rescheduling and relief 2/ 4/	1.8	2.9	2.9	4.1	3.1	3.0	2.6	1.9	1.0	0.2	0.4
Total debt service after debt relief 2/ 4/	17.7	15.6	12.9	12.1	12.0	10.5	10.0	13.7	9.5	9.0	7.7
Memorandum item:											
Exports of goods and nonfactor services (in millions of SDRs)	1,081.3	1,131.7	1,252.7	1,334.3	1,445.8	1,566.9	1,661.2	1,759.1	1,864.1	1,975.0	2,086.4

Sources: IMF, Treasurer's Department; Senegalese authorities; and Fund staff estimates and projections.

1/ Outstanding Fund credit includes SAF/ESAF loans and outstanding purchases.

2/ In percent of exports of goods and nonfactor services.

3/ Financing needs are defined to include current account deficit, amortization due, repurchases and repayments to the Fund, planned improvements in reserves, and reduction in external arrears.

4/ Includes the impact of the June 1998 Paris Club stock-of-debt operation.

Table 8. Senegal: Restructuring of Nonfinancial Public Sector, 1994-200011/

(In millions of CFA francs, unless otherwise indicated)

	Initial Government's Share (In per- cent)		Planned Govern- ment share	Turnover (1996)	Net worth (1996)	Net Profits	Comments
Total	207,394			574,036	253,122	21,423	
Actual restructuring during 1994-97	62,683			221,953	58,100	11,227	30 percent of portfolio
Rice import monopoly (CSSP)	1,375	100	0	150,000 ²	...	...	Liquidation
Sanitation company (SIAS)	1,000	67	0	...	...	...	Liquidation
Hotel (SH-SALY)	215	43	0	...	...	...	Liquidation
Phosphate mining (SSPT)	500	50	0	2,607	1,735	-127	Total privatization
Hotel in Dakar (SPHU-Teranga)	587	32	0	...	...	...	Total privatization
Retail store (SONADIS)	825	90	0	...	...	...	Total privatization
Telecommunications company (SONATEL)	50,000	100	25	62,013	55,961	12,605	Partial privatization
Insurance company (ASACE)	150	100	25	32	501	-2	Partial privatization
Water distribution (SONES)	3,928	100	100	4,588	3,928	-1,286	Private management ³
Shipyard (Dakar-Marine)	3,522	97	97	2,713	-4,025	37	Private management ³
Textile factory (SOTEXKA)	581	77	77	...	...	...	Five-year leasing
Restructuring programmed for 1998	73,329			185,374	60,621	1,279	35 percent of portfolio
Housing (HAMO)	190	95	0	...	...	...	Sold (May 1998)
Electricity company (SENELEC)	63,000	100	41	69,346	50,407	-1,771	Bids in October (revised date)
Groundnut industry (SONACOS)	8,010	80	0	97,047	17,877	7,200	Privatization scheduled Dec. 98
Urban transportation (SOTRAC)	1,605	64	0	4,462	-10,007	-4,065	Privatization scheduled Nov. 98
Industrial promotion (SONEPI)	92	61	20	88	-307	-114	Privatization scheduled Nov. 98
Management company (SODIDA)	35	64	49	218	120	20	Privatization scheduled Nov. 98
Tapestry (MSAD)	17	100	20	65	24	-41	Privatization scheduled Nov. 98
Luxury hotel in Dakar (Mérédien)	...	100	0	...	...	...	Bids in November 1998
Coton ginneries (SODEFITEX)	380	51	30	14,148	2,507	50	Privatization scheduled Dec. 98

Table 8. Senegal: Restructuring of Nonfinancial Public Sector, 1994–2000¹ (concluded)

(In millions of CFA francs, unless otherwise indicated)

	Initial Government's Share (In per-cent)		Planned Government share	Turnover (1996)	Net worth (1996)	Net Profits	Comments
Restructuring programmed for 1999–2000	12,196			45,226	103	-860	6 percent of portfolio
Housing (SICAP)	2,457	90	n.a.	3,041	1,230	-16	Preparation for privatization under way
Airline (SONATRA-Air Senegal)	190	94	50	2,434	446	58	Preparation for privatization under way
Trade promotion agency (CICES)	82	59	n.a.	582	140	209	Preparation for privatization under way
Cinematography (SIDECE)	727	95	34	74	-12	-419	Preparation for privatization under way
Lottery (LONASE)	110	100	n.a.	22,611	-5,842	-1,250	Preparation for privatization under way
Tourism (SAPCO)	1,085	99	49	289	-3,505	68	Preparation for privatization under way
Drilling contractor (SONAFOR)	178	74	0	672	-1,190	21	Preparation for privatization under way
Insurance (SENRE)	312	52	25	2,608	1,128	56	Preparation for privatization under way
Engineering (CEREEQ)	55	100	50	372	-575	71	Preparation for privatization under way
Railways (SNCS)	7,000	100	100	12,543	8,283	342	Line Dakar-Bamako to be privatized ³
Remaining part of the portfolio	59,186			121,483	134,298	9,777	29 percent of portfolio
Chemical industry (ICS)	31,876	58	47	99,611	92,000	8,000	Partial privatization considered
Social housing (SN-HLM)	6,000	100	100	2,078	3,341	-297	
Radio and television (RTS)	7,000	100	100	1,961	7,597	231	
Port of Dakar (SN-PAD)	5,000	100	100	10,516	19,766	1,155	
Post office	2,912	100	100	4,388	8,259	184	
Agricultural services (SAED)	2,500	100	100	118	2,172	0	
Petroleum holding (PETROSEN)	1,200	100	100	2,811	1,163	504	
Small companies	2,698	...	...	...	...	...	

Sources: Senegalese authorities; and staff calculations.

¹Includes 54 enterprises, of which 37 with government majority holding.

²Estimate

³With public ownership of principal assets.

Table 9. Senegal: Selected Demographic and Social Indicators

	Latest Single Year			Same Region/Income Group	
	1970-75	1980-85	1990-96	Sub-saharan Africa	Low-income countries
(in units indicated)					
Population					
Total population, mid-year (millions)	4.8	6.4	8.5	596.4	3,236.2
Growth rate (percent annual average)	2.9	2.8	2.5	2.7	1.8
Urban population (percent of population)	34.2	37.9	44.4	31.7	29.1
Total fertility rate (births per woman)	6.5	6.6	5.7	5.6	3.2
Life expectancy at birth (years)					
Total	43	46	50	52	63
Male	42	45	49	51	62
Female	44	48	52	54	64
Labor force					
Total labor force (population aged 15-64, in thousands)	2,242	2,883	3,822	262,524	1,604,011
Employment in agriculture (percent of total labor force)	82	79	77	65	...
Education					
Gross primary school enrollment rate (percentage of school-age population)					
Total	41	56	69	74	100
Male	48	67	76	83	111
Female	34	46	62	65	89
Adult illiteracy rate (percentage of population above age 15)					
Total	...	68	62	57	45
Females	...	81	77	68	58
Health and nutrition					
Population per hospital bed	775	...	1,923	1,316	...
Infant mortality rate (per 1000 live births)	122	80	60	91	68
Immunization rate (percentage under 12 months)					
Measles	..	40	80	56	80
DPT	..	54	80	55	81
Access to safe water (percent of population)					
Total	...	44	50	45	76
Urban	...	63	82	63	80
Rural	...	27	28	34	72
Food production index (1987=100)	118	86	101	116	137

Source: The World Bank, *World Development Indicators, 1998*.

Dakar, October 20, 1998

Mr. Michel Camdessus
Managing Director
International Monetary Fund
Washington, D.C. 20431

Dear Mr. Camdessus:

1. In accordance with the provisions of the first annual arrangement under the Enhanced Structural Adjustment Facility (ESAF) approved by the Executive Board of the International Monetary Fund on April 20, 1998, the Senegalese government, together with a Fund mission, has reviewed the implementation of the economic and financial program for 1998, while holding the discussions for the 1998 Article IV consultation. The review covered developments in 1997 and the first half of 1998, progress made in implementing the program, prospects up to end-1998, the draft budget for 1999, and the measures needed to achieve the program objectives. The quantitative and structural benchmarks for the second half of the year have been revised, taking into account developments in the first half.
2. As indicated in the attached memorandum, the results of the implementation of the program during the first semester and the prospective outcome for the second semester of 1998 remain generally positive, for both the financial program and structural reforms. All the performance criteria and benchmarks, both quantitative and structural, were observed, with the exception of quantitative performance criteria relating to debt and payment arrears and one structural benchmark—the nonobservance of which was of a technical nature and has not materially affected the stance of economic policy. In light of the particular circumstances surrounding these cases of nonobservance and the corrective measures that have already been taken to avoid a repetition, the government requests that the appropriate waivers needed for the completion of the midterm review be granted. The draft budget for 1999, which will shortly be presented to the National Assembly, is fully in line with the objectives of the program.
3. The Senegalese government remains committed to implementing all of the reforms and measures described in the memorandum on economic and financial policies for 1998 and the policy framework paper for 1998-2000 dated February 27, 1998, as well as in the memorandum attached to this letter.

Sincerely yours,

/ s /

Mouhamadou El Moustapha Diagne
Minister of Economy, Finance, and Planning

SENEGAL

Memorandum for the Conclusion of the Midterm Review of the Program for 1998

October 20, 1998

1. The medium-term economic program presented in the policy framework paper for 1998–2000 and in the memorandum on economic and financial policies for 1998, dated February 27, 1998, aims to consolidate the results of previous programs, and, primarily through second-generation reforms, to achieve strong, sustained growth, to reduce poverty, and to maintain domestic and external financial viability. To achieve these objectives, the government has focused its actions in five key areas: consolidation of the fiscal position; the modernization of the state, primarily through the reform of public administration and privatization; the acceleration and deepening of sectoral reforms, particularly in the energy, transportation, and agriculture sectors; the creation of a favorable environment for private sector development; and an intensification of efforts to develop human resources.
2. The quantitative medium-term objectives of the program are to increase real GDP growth from an annual average of about 5 percent in recent years to about 6 percent (to be achieved primarily through higher rates of private saving and investment); to maintain a rate of inflation of below 3 percent, in line with Senegal's main trading partners; to maintain an overall budget deficit (on a commitment basis and excluding grants) of not more than 2 percent of GDP; and to lower the external current account deficit (excluding official transfers) to less than 7 percent of GDP in 2000, consistent with expected flows of project assistance and private foreign investment. The principal macroeconomic program objectives for 1998 were real GDP growth of at least 5.3 percent, an inflation rate of below 2.4 percent, an overall budget deficit (on a commitment basis, excluding grants) of 2 percent of GDP, and an external current account deficit (excluding official transfers) of 7.3 percent of GDP. The program also envisaged an increase in the investment ratio from 18.7 percent of GDP in 1997 to 19.2 percent, which would require an increase in the domestic saving rate of about $\frac{1}{2}$ of 1 percentage point of GDP to 13.8 percent.

I. RECENT ECONOMIC DEVELOPMENTS

3. In 1997, despite a contraction in agricultural output, real GDP growth reached 5.2 percent and inflation was contained, with the consumer price index for Dakar increasing by 1.8 percent. The volumes of exports and imports rose by 1.6 percent and 3 percent, respectively, and the external current account deficit (excluding official transfers) remained at 7.6 percent of GDP. Achievement of the programmed level of government revenue and effective control of spending made it possible to reduce the overall fiscal deficit (on a

commitment basis and excluding grants) from 2.2 percent of GDP in 1996 to 1.5 percent in 1997. The money supply grew by 7.3 percent, in line with the increase in nominal GDP. The net domestic assets of the banking system were reduced by 8 percent, largely through a strong contraction in net credit to the government, owing, in turn, to large privatization receipts and the mobilization of a concessional loan from Taiwan Province of China. These inflows were reflected in a sharp increase in Senegal's contribution to the net foreign assets of the Central Bank of West African States (BCEAO). Credit to the economy increased by nearly 14 percent, mainly because of sustained activity in the construction, commerce, and services sectors.

4. Overall, economic developments in the first half of 1998 were favorable. Despite a further contraction in agricultural production, caused by a drought during the 1997/98 growing season, preliminary indications of output trends in other sectors suggest that GDP growth is likely to be 5.7 percent for the year. In the first half of 1998, the harmonized consumer price index¹ showed an increase of only 0.7 percent over the corresponding period in 1997, as it was influenced by the decline in the prices of petroleum products and some other products, following the petroleum and tariff reforms. However, a late start to the rainy season accentuated the normal seasonal rise in food prices in July and August. The real effective exchange rate for the CFA franc remained stable in the first half of 1998, some 30 percent more depreciated in real terms than just prior to the 1994 devaluation, and Senegal thus maintained its competitive position. Export volumes grew by about 3.8 percent compared with the first half of 1997, primarily because of a slowdown in groundnut exports. In contrast, imports increased substantially over the corresponding period in the previous year, mainly as a result of a strong rise in imports of rice and capital goods.

5. As shown in Table 1, the quantitative performance criteria established for end-June 1998 were met, in some cases by comfortable margins. However, a slippage in 1998 has resulted from the delayed execution of a nonconcessional loan agreement that had been authorized under the program for 1997, a technical nonobservance of the zero ceiling on nonconcessional loans.² In addition, a lack of coordination between branches of the administration led to a delay in making an external payment of a maturity due in May 1998 to the African Development Bank from the Economic Promotion Fund (EPF), thereby generating an external payments arrear. This arrear was paid at end-June. In light of the

¹Senegal has recently adopted the harmonized consumer price index, which is consistent with the price indexes used by the other members of the West African Economic and Monetary Union (WAEMU).

²This involves a loan of CFAF 5 billion from the West African Development Bank (BOAD) to finance the construction of a power plant next to the Manantali dam, within the framework of a joint regional project with Mali and Mauritania. Negotiations were concluded in 1997, but the contract was not actually signed until April 1998. A provision of CFAF 10 billion had been earmarked in the program for 1997, but was not used.

exceptional nature of these occurrences and the recent assumption by the treasury of the debt obligations of the EPF to avoid similar difficulties in the future, the government requests a waiver for failure to meet these quantitative performance criteria. The other quantitative indicators were met, with fiscal revenue exceeding, and wage bill expenditures below, program targets. The performance criteria and structural benchmarks established for end-July 1998 were also met, although the call for bids for privatization of the electricity company (SENELEC), a benchmark for end-August 1998, was delayed until October 13, 1998.

6. Budget execution was better than expected in the first half of the year: overall revenue exceeded the target, and total expenditure was held within the program limits. Tax receipts were CFAF 222 billion—3.5 percent above the program target—because of strong receipts from income taxes and taxes on foreign trade. The latter was larger than forecast, despite the reduction in tariffs in April, because dutiable import volumes were higher than expected. In contrast, the revenue from taxes on petroleum products was less than programmed, partly because the prices of petroleum products declined on the international markets and partly because payment of duties by the petroleum refinery (SAR) were delayed on account of arrears owed to it by SENELEC. Nontax receipts were much higher than expected on account of the earlier-than-expected payment of fishing license fees by the European Union (EU) and dividends from the telecommunications company (SONATEL).

7. Public expenditure was in line with program targets through June of 1998. Current expenditure was lower than programmed, including on the wage bill, which was maintained below the benchmark in part because the introduction of the merit-based promotion system in the civil service was delayed. However, capital expenditure was slightly higher than programmed because of faster-than-expected implementation of the externally funded investment program. The deficit on the special accounts and correspondent accounts deteriorated in the first half of the year, largely owing to advances granted to the National Pension Fund (FNR) and the Urban Community of Dakar. The overall budget deficit (on a commitment basis and excluding grants) was CFAF 3.2 billion (and, therefore, well below the CFAF 22.9 billion programmed), and the basic fiscal surplus³ of CFAF 44 billion was double the amount programmed.

8. In line with the normal seasonal pattern, the money supply remained broadly unchanged over the first half of 1998.⁴ The net domestic assets of the banking system fell, mainly owing to a decline in credit to the government, arising from the government's improved financial position. But credit to the economy continued to rise, particularly in the

³The basic fiscal balance is defined as fiscal revenue minus total expenditure, excluding externally financed investment.

⁴Methodological changes were made to the monetary data series for 1996, 1997, and 1998, but they do not significantly affect the changes, in absolute or relative terms, in the main parameters, compared with the program.

second quarter, reflecting strong activity in the secondary and tertiary sectors. Senegal's contribution to the net foreign assets of the BCEAO continued to be significant. Because of regional concerns about inflation, the expansion of credit, and transfers abroad by banks, the BCEAO raised reserve requirements for banks as of August 16, 1998 from 1.5 percent to 5 percent, and, as of August 31, 1998, it increased its repurchase and discount rates by $\frac{1}{4}$ of 1 point, to 5.75 percent and 6.25 percent, respectively. Some interest rates have also risen slightly since the beginning of the year, with deposit rates settling at 4.95 percent at end-September 1998; however, the bank prime lending rate has continued to average 8.6 percent. The Senegalese banking system is generally healthy, and most banks remained profitable in 1997. However, a number of prudential ratios established by WAMU's Banking Commission are not yet being observed by some banks, and the number of delinquent loans rose during the first quarter of the year.

9. Structural reforms in the tax area were introduced as scheduled:

- A significant tariff reform, linked to the gradual implementation of a common external tariff (CET) by all WAEMU member countries, was adopted into law on April 17, 1998. This reform combined the customs and revenue duties into a single customs duty, simplifying the tariff system and reducing tariff protection through the introduction of four rates (0, 5, 10, and 25 percent), in addition to a customs duty stamp of 5 percent. This led to a reduction in the average effective rate on dutiable imports from 22 percent to 17 percent. Surtaxes on agricultural products and cigarettes were maintained with unchanged rates, pending the adoption of community-wide arrangements for surtaxes. In anticipation of the common product classification expected to enter into force on January 1, 1999, Senegal has already adopted a provisional tariff classification consistent with the WAEMU proposals. However, delays were experienced in the introduction of some reform measures associated with the tariff reduction, such as the reduction of exemptions, the follow-up to conditional import arrangements, and the improvement of the GAINDE software used by customs.
- The reform of taxation on petroleum products was adopted, as planned, in April and entered into effect on May 9. The impact on government revenue was fully felt only in July because of the 60-day period for the payment of duties. The drop in world petroleum prices resulted in a fall in petroleum product retail prices and made it possible to reduce to below programmed levels the subsidies on butane, and on the fuel used by SENELEC to generate electricity.

10. Among the structural measures of the program, the liberalization of the importing, refining, storage, transportation, and distribution of hydrocarbons was adopted in April. Prices are now automatically adjusted each month to reflect world prices (in advance of the timetable in the program, which targeted quarterly adjustments in 1998 and monthly adjustments starting only in 1999).

11. Five companies were privatized in the first nine months of the year: the Thiès phosphates company (SSPT); the Teranga Hotel; HAMO, a housing company; Dakar-Marine, a shipyard; and SONADIS, a distribution company. In addition, in June 1998, the chemicals company, ICS, increased its equity capital in readiness for expansion; since the government did not participate in this operation, its shareholding in the company was reduced from 58 percent to 47 percent. An international invitation to bid for the urban transport concession and the assets of the existing transport company (SOTRAC) was issued on September 1. However, some delays occurred in the preparations for the privatization of other companies, including SENELEC. A report on the economic and financial performance of public enterprises in 1996 was provided to Fund staff, and the report relating to their performance in 1997 will be available by end-1998, after the accounts have been certified by the auditors.

12. The reforms of the legal and judicial framework governing economic activity are progressing smoothly, both with respect to the regional initiatives to harmonize business law through the OHADA Treaty and the complementary initiatives taken by the Senegalese government. Currently, eight standard OHADA instruments have been adopted, six of which already have force of law in Senegal, and the remaining two will have force of law by January 1, 1999. The initiatives of the legal reform committee, chaired by the Minister of Justice, include a number of reforms relating to, inter alia, international commercial arbitration; to those professions associated with the legal control of enterprises in difficulty; the procedures for foreclosing on collateral; and a banking charter. These reforms are being finalized and will be submitted for approval by the National Assembly at its forthcoming session. Efforts are continuing to step up the training of magistrates and to modernize the courts. In the area of good governance, it has not been possible to launch the user survey on the quality of public services, scheduled for the second quarter of 1998. However, arrangements have recently been made to complete the preparation of the questionnaires and establish the consultative bodies, and the survey will be finalized before end-1998.

II. PROGRAM FOR THE REMAINDER OF 1998

13. Based on the progress made in the first half of 1998, the government is determined to press ahead with the implementation of all the measures in the program, so as to meet the targets adopted for the year. Growth prospects continue to be favorable, in particular in the construction and public works, commerce, and services sectors, and real GDP growth is expected to reach 5.7 percent in 1998. Inflation is anticipated to be in line with program targets, as the price increases observed in July and August are expected to be reversed before the year's end because of the improvement, albeit belated, in rainfall and the increase in the supply of foodstuffs that was expected to begin in October. The external current account deficit (excluding official transfers and before debt relief) is expected to be somewhat larger than the programmed level of 7.3 percent of GDP, mainly because of a sharp increase in

externally funded imports of capital goods and in private capital inflows. However, once debt relief is taken into account, the overall deficit should be close to the programmed level.⁵

14. In light of the positive results in the first half of the year and sound economic management in the second half, the government believes that budget execution for the whole of 1998 will be in line with program targets. Total fiscal revenue is expected to be CFAF 449.4 billion, which is slightly higher than the CFAF 446.9 billion initially programmed. The overall budget deficit (on a commitment basis, excluding grants, and after debt relief) is estimated to be 2.1 percent of GDP, close to the 2.0 percent in the program. Because of a higher-than-anticipated level of grants, the overall deficit including grants and on a commitment basis, will be 0.3 percent of GDP, compared with a programmed deficit of 1 percent. The basic fiscal surplus is expected to be 1.3 percent of GDP, as programmed.

15. Reflecting prudent fiscal management, expenditure and net lending will remain within program limits, aided in part by a reduction of interest charges (of some CFAF 14 billion) resulting from the debt relief obtained from Paris Club creditors. The merit-based promotion system will be implemented by the end of the year (having been postponed until now), the overall wage bill will be kept within the program limits, and the number of civil servants (excluding volunteer teachers) at less than 67,000. Any savings achieved on wages will continue to be directed toward sectors promoting the development of human resources. The share of the social sectors is expected to reach 41.2 percent of the operating budget, as programmed, with 33.6 percent going to education and 7.6 percent going to health. In addition, the government will meet a number of unscheduled obligations: the provision of foodstuffs to the regions affected by drought; military expenditure on food and operational bonuses relating to the intervention in Guinea-Bissau; coverage of the FNR's structural deficit following the delay in introducing deficit-reduction measures; and severance payments to employees of SOTRAC, which will be liquidated before the year's end. The expenditure forecasts for 1998 also include a 1997 payment for work done by an international services company. The authorities consider that the delay in paying for part of this work does not constitute a payments arrear because substantial provisions for these payments have already been made in the form of a treasury deposit with the central bank, and agreement has been reached on a schedule for payment by the end of the year. Nonetheless, the authorities request a waiver for the nonobservance of the relevant performance criterion.

16. Capital expenditure in 1998 as a whole is being implemented as planned, within the framework of the three-year public investment program (PTIP) for 1998–2000. The government has provided Fund staff with the report on the new approach to budget programming and the action plan for improving the preparation of the investment budget (an end-July 1998 structural benchmark). Lastly, the review of public expenditure in the

⁵The final restructuring of Senegal's external debt under the auspices of the Paris Club involves a reduction in interest charges due of about 0.5 percent of GDP in 1998 and 0.4 percent in 1999.

education, health, and justice sectors, which is being carried out in collaboration with World Bank staff, is expected to lead to improved policy formulation in these sectors and lay the groundwork for a reform of budgetary procedures. It will be completed by the end of the year.

17. The government will continue to pay its bills promptly for the consumption of water, electricity, and telephone services, so as to prevent any payment delays. The remaining government obligations on account of past extrabudgetary arrears continue to be paid and will be fully settled by the year's end, as programmed. In the future, all arrears on legally mandated payments from the government will be integrated in the budget and paid as current expenditure. Regarding the FNR, the action plan to reduce the structural deficit attributable to delays in the introduction of corrective measures will be adopted by the year's end and launched in 1999. The government will also accelerate the finalization and submission to the Audit Office and the National Assembly of the final finance bills still pending.

18. Following the Consultative Group meeting for Senegal in April 1998, Senegal benefited in June from a stock-of-debt operation on Naples terms (a 67 percent reduction of eligible debt and rescheduling of the remainder) from the Paris Club. This debt relief, together with previously unanticipated financing from the World Bank and the European Union, largely covers the residual financing gaps for the 1998-2000 period identified in the program.

19. Under the program, the monetary policy of the BCEAO will remain prudent, in accordance with the regional objectives of stabilizing prices and consolidating the external position of the union. Broad money in Senegal is expected to increase by about 8 percent in 1998, in line with the growth in nominal GDP. The net domestic assets of the banking system will increase by nearly 4 percent over end-1997, owing to the combined effect of a 4 percent growth in net credit to the government and an 11 percent rise in credit to the economy, sufficient to meet the needs of the productive sectors of the economy. In these circumstances, it is expected that there will be a further increase in Senegal's contribution to the external position of the BCEAO. Given the more favorable outcome in the first half of the year, and taking into account the recent revisions to the monetary accounts, the ceiling on net bank credit to the central government at end-December 1998 has been revised downward.

20. Senegal, in collaboration with the other WAEMU member states, will support the efforts of the monetary authorities to improve the instruments of indirect management of monetary policy. It is expected that the WAEMU regional stock exchange, which began operations on September 16, will help improve the efficiency of intermediation between private savings and investments. The government will strongly support the efforts made by the WAMU Banking Commission to regularly inspect banks operating in Senegal and to work out a program to achieve full compliance with prudential ratios. It will also pay particular attention to monitoring the development and solvency of mutual savings and loan institutions.

III. FISCAL PROSPECTS FOR 1999

21. In the context of the medium-term framework of the program, the authorities discussed with Fund staff the draft budget for 1999, in which provision is made for a narrowing of the overall deficit (on a commitment basis and excluding grants) to 0.8 percent of GDP in 1999, and a basic fiscal surplus of the order of 2.3 percent of GDP. Fiscal revenue is projected to be CFAF 492 billion, or 15.8 percent of GDP, which is slightly below the level initially programmed, essentially because of lower income taxes. This projected fall in income taxes results from the decision not to implement an across-the-board salary increase; it also reflects both an increase in the threshold of, and a reduction in, income tax rates to increase the disposable income of all wage earners—in particular those on low wages. The impact of the lower income taxation will be limited to a maximum of CFAF 6 billion in order to minimize the reduction in government revenue. The estimates for petroleum taxation are based on an assumption of international prices and an import parity that are 10 percent higher than the CFA franc prices prevailing on September 19, 1998. Based on this assumption, a cap of CFAF 8.2 billion will be placed on the amount of subsidies on fuel products used for the production of electricity and on butane gas. Any additional increase in international prices will be accommodated by promptly raising retail selling prices for these two products, which will continue to be subsidized until 2001 and 2002, respectively, as established in the energy sector reform program agreed with the World Bank. Prices of other petroleum products will continue to be automatically adjusted every month on the basis of developments in international prices.

22. Total expenditure and net lending has been set at CFAF 517 billion (16.6 percent of GDP) in 1999, slightly below the programmed level. The wage bill will be maintained at CFAF 167.5 billion,⁶ which is below the original target of CFAF 174.3 billion, following the decision not to provide a general salary increase and to maintain staff below 67,000 employees. The social sectors will continue to be given priority, and their share of current expenditure will be 41.1 percent, with 32.9 percent going to education and 8.2 percent going to health. The correspondent accounts are expected to generate net revenue of CFAF 4.4 billion, owing to the repayment to the treasury by the defunct rice stabilization authority (CPSP) of past onlending. Capital expenditure executed within the framework of the PTIP for 1999–2001 will total CFAF 178 billion in 1999 and will ensure continued growth in domestically financed expenditure and an increase in the share of spending allocated to social infrastructure. The composition of the PTIP for 1999–2001 and the improvement of budgetary procedures were discussed with World Bank staff. The weaknesses in investment appraisal and monitoring highlighted by the public expenditure review will be addressed, in particular through the improved capacity for planning and executing public investments. Among other things, these improvements will establish a more consistent linkage between the PTIP and the budget, as all capital expenditures executed by the government—including those

⁶Excluding a possible carry over from 1998 of the payment of salary increases linked to the merit-based promotion system.

financed with external resources that were off budget in the past—will be included in the government's table of financial operations.

23. Effective January 1, 1999, Senegal will make some additional adjustments to the tariff classification of imported products to match the common classification adopted by the WAEMU Council of Ministers on July 3, 1998. In this context, Senegal will also eliminate any of the remaining tariff differentiations under the *code des précisions*. This step will follow the adoption by the WAEMU of customs procedures more appropriate for the imported inputs used in the local production of some products, such as medicines and schoolbooks, which have been classified in the CET as goods with a zero rate. In addition to the CET, temporary surtaxes and the use of reference values for purposes of protection are the subject of discussions at the regional level; these are expected to be completed by end-1998. Senegal intends to limit such surtaxes to a very small number of products, and in no case will the combined rate of duties and surtaxes exceed 50 percent. Finally, the protective tariffs on rice imports, which do not work efficiently, will be reviewed before the end of 1998.

24. After completing a study on the unification of value-added tax (VAT) rates, the government has decided to introduce a single VAT rate, but not until January 1, 2000, when it can be better integrated into the second phase of tariff reform within the framework of the CET and the regional harmonization of indirect taxation. Meanwhile, more detailed studies will be carried out to assess both the fiscal and social implications of this measure. In order to ensure the achievement of the fiscal revenue targets for 1999, the government will take the necessary steps to increase the efficiency of the customs and tax administrations in line with the recommendations of the recent technical assistance mission of the Fund. Pending the adoption of the regional investment code within the WAEMU, the government will not broaden the scope, or the provisions, of the Senegalese investment code. The government's central objective is to achieve a tax system that is applied as widely as possible, and to eliminate special arrangements. With this in mind, a number of measures will be implemented by end-1998.

At customs, the authorities will

- improve the monitoring of the exemptions granted under the *régimes suspensifs*;
- extend and improve the computerized management system of the customs (GAINDE);
- audit the exemptions granted under investment codes, special duty-free admissions, and suspensions of duty;
- limit to a strict minimum the waiting periods and formalities for clearing goods through customs;
- introduce detailed monthly monitoring of customs receipts and exemptions; and
- consolidate operations relating to the new system of taxation of petroleum products.

At the tax department the authorities will

- complete the computerization of VAT collection procedures and reinforce spot checks on VAT receipts;
- install a better system for the centralized tax auditing of large enterprises; and
- improve the management of small and medium-sized taxpayer accounts.

IV. STRUCTURAL REFORMS

25. The government, together with the staffs of the International Monetary Fund and the World Bank, has reviewed the progress made on the reforms contained in the policy framework paper for 1998–2000. The review covered, in particular, the privatization program, support for private sector development, the national program of good governance, reforms in the key sectors of energy, agriculture, and transportation, the development of human resources through improvements in education and health, poverty reduction, and the improvement of statistics. Generally speaking, these programs are proceeding as planned. However, there have been a few delays in some areas, partly linked to the parliamentary elections and the formation of a new government. These delays are significant in regard to the privatization of SENELEC and the implementation of the program of good governance. The government firmly intends to regain lost time by the end of the year.

26. The government expects to make final preparations by end-1998 for the sale of shares in eight public enterprises instead of the three initially planned. This program includes five large enterprises (SENELEC; SONACOS, the groundnut processing company; SOTRAC; the Méridien Président Hotel; and SODEFITEX, the textile development company) and three small enterprises,⁷ for all of which the preparatory work and the drawing up of bidding documents are well advanced. As regards the electricity company, SENELEC, the call for bids was made on October 13, 1998. For SONACOS, given the difficulties experienced during previous attempts at privatization, the procedures for implementing the privatization strategy are being reexamined with the assistance of an investment bank and will be reviewed by the government at end-October.

27. To complete the restructuring program, the list of enterprises to be privatized in 1999–2000 has been drawn up. The new list includes ten enterprises, for which the preparatory work has already started; seven of these will be put up for sale in 1999:⁸ the real estate company, SICAP; Air Sénégal; the film company, SIDEC; the company for

⁷ The industrial promotion and research company, SONEPI; the company to manage the Dakar industrial estate, SODIDA; and the decorative arts manufacturing company, MSAD.

⁸ Given the uncertainty associated with the timing and the receipts of these sales, the 1999 draft budget excludes privatization receipts.

development of the Petite Côte, SAPCO; the national drilling company, SONAFOR; the reinsurance company, SENRE; and the Dakar-Bamako line of the national railway, SNCS. As regards the national lottery (LONASE) and the international foreign trade center (CICES), consideration is being given to studying the possibility of opening up the capital to the private sector. The research center (CEREEQ) is scheduled for an institutional reform, after which a 50 percent ceiling will be placed on government ownership. At the end of the restructuring of the parapublic sector, which started in 1994, only a very small number of public enterprises will remain in the government's portfolio, and the government's share of portfolio will have been reduced to less than 30 percent, on average, of its initial value. The remaining enterprises will be those that provide a public service, are engaged in industrial or commercial promotion, or have an essential social function (which is thought to be unlikely to be assumed by the private sector). The government will ensure that Fund staff is provided with the report on the economic and financial performance of public enterprises in 1997 as soon as possible, and in any case by the end of 1998.

28. In support of private sector development, the government will make every effort to facilitate the carrying out of a survey that can be used to prepare a roadmap for investors, as described in the policy framework paper of February 27, 1998. This project, which is being carried out with the assistance of the World Bank's Foreign Investment Advisory Services (FIAS), is expected to pinpoint the difficulties faced by private investment operations and to identify additional reforms needed to improve the investment climate. The survey on the quality of public services will be conducted during the last quarter of 1998.

V. OTHER POLICIES

29. Senegal's debt-management policy will continue to be prudent, with recourse made only to grants or to concessional long-term external loans. The government will neither contract nor guarantee nonconcessional loans, except for trade credits with a term of less than a year. All loans contracted or guaranteed by the government will be subject to prior authorization by the Minister of Economy, Finance, and Planning. The government will ensure that its external obligations are met in a timely fashion and will not accumulate any external or domestic payments arrears. It will quickly conclude bilateral agreements with Paris Club member countries, in accordance with the agreement obtained in June, and it will seek to conclude agreements with its non-Paris Club bilateral creditors as soon as possible, on terms comparable to those obtained from Paris Club members.

30. The government is aware of the need to step up actions required to improve the quality and coverage of economic and social statistics. In addition to the measures already taken and those now being implemented to improve monetary, balance of payments, and production statistics, the government will, in the next few months, implement an action plan to reduce remaining statistical weaknesses in the national accounts, foreign trade, industrial production, and social indicators. To this end, it will increase the resources allocated to its statistics departments and will seek technical assistance from the IMF and other partners.

31. The Senegalese government believes that the policies and measures described in this letter, which supplements the memorandum of February 27, 1998, will help to meet the objectives of the program for 1998. The government will take any additional measures that may prove necessary for this purpose. In particular, it will (a) oversee the proper conduct of the privatization of SENELEC, in accordance with the new timetable established; (b) complete the reconciliation of budgetary and extrabudgetary investment operations; and (c) settle residual payments arrears by the end of the year.

32. To build on the considerable progress made in fiscal consolidation and economic restructuring since 1994, the government will follow its program of reforms, so as to strengthen growth prospects and significantly reduce poverty. These reforms are expected to contribute to improving the efficiency of public policy in essential areas, to complete the revision of the tax system, especially within the framework of harmonization within the WAEMU, and to promote Senegal's integration into the regional and global economy. These reforms should also contribute to a substantial improvement in the climate for private enterprises and in the functioning of government departments, including the judiciary. The government counts on the continued support of the International Monetary Fund to assist it in achieving these objectives and will seek a second annual arrangement under the ESAF, with a view to consolidating the gains achieved under the current arrangement.

Table 1. Senegal: Quantitative Performance Criteria and Benchmarks for 1998

(In billions of CFA francs, unless otherwise indicated)

	December 31 1997		March 31 Indicative		June 30 Criteria			September 30 Benchmarks		December 31 Benchmarks	
	Prel.	Est.	Prel.	Est.	Prog.	Adj. Prog. ⁷	Prel.	Prog.	Prel.	Prog.	Prog. rev.
(Cumulative from beginning of year)											
Performance criteria and benchmarks											
Overall basic budgetary balance ¹	49.8	49.8	9.0	17.8	22.1	22.1	44.5	28.6	60.2	36.9	36.7
Bank credit to government ^{2,3}	202.6	187.3	221.1	181.6	220.0	229.0	184.0	233.2	192.3	235.3	195.7
Stock of central government domestic payments arrears ⁴	0.0	0.0	5.7	5.7	0.0	0.0	5.7	0.0	3.3	0.0	0.0
Stock of official external payments arrears ⁴	2.7	2.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
New nonconcessional external borrowing ⁵											
With maturities of less than 12 years	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Of which:</i> less than 1 year	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
With maturities of more than 12 years concessional and element of 10-35 percent	0.0	0.0	0.0	0.0	0.0	0.0	5.0	0.0	5.0	0.0	5.0
Quantitative indicators											
Budgetary revenue	432.2	432.2	108.0	108.8	218.0	218.0	238.4	318.0	342.7	446.9	449.4
Wage bill	160.4	160.4	41.5	39.4	83.0	83.0	80.1	124.5	119.5	166.0	165.1
Memorandum item:											
Exceptional financial assistance ⁶	39.9	39.9	8.4	10.2	25.9	16.9	16.9	29.6	24.3	39.9	58.3

¹ Overall budget deficit excluding foreign-financed investment expenditure; budgetary revenue excludes privatization receipts.² Excluding changes in the amount of securities issued against the consolidated public debt and held outside the Senegalese banking system.³ The ceiling will be adjusted downward (or upward) by the amount of exceptional financial assistance in excess (short) of projected disbursements (excluding use of Fund resources); up to a limit of CFAF 20 billion in the event of a shortfall in external budgetary assistance. Also the ceiling will be adjusted downward by the amount of unbudgeted privatization receipts.⁴ These performance criteria are monitored on a continual basis.⁵ Based on the definition of concessionality approved by the Fund's Executive Board on April 15, 1996.⁶ Excluding use of Fund resources (UFR).⁷ Ceiling on bank credit to government adjusted in accordance with program provisions, reflecting disbursements of exceptional financial assistance (defined as external budgetary assistance plus debt relief) of CFAF 16.9 billion at end-June 1998.

Table 2. Senegal: Structural Performance Criteria and Benchmarks for 1998

Measures	Timetable	Status
Performance criteria		
Completion and delivery by Fund staff of a study on the adoption of a unified valued-added tax (VAT) rate	End-July	Observed
Completion and delivery by Fund staff of a report on the economic and financial performance of the main public enterprises in 1996	End-July	Observed
Structural benchmarks		
Establishment of quarterly indicators on public investment execution	Mid-August and mid-November	Observed
Preparation and delivery to Fund staff of a study on the outline of the government's new budget programming approach and action plan to improve the preparation of investment budget	End-July	Observed
Automatic adjustment of domestic petroleum product prices to reflect actual economic costs	July 1 October 1 and January 1 1999	Observed ¹
Launching of bids for the privatization of electric company (SENELEC)	End-August	Not observed ²
Adoption of a plan to secure the long-term financial viability of the pension fund (<i>Fonds National de Retraites</i>)	End-December	Ongoing

¹ Petroleum product prices are now adjusted on a monthly basis.

² Accomplished on October 13, 1998.

Senegal: Relations with the Fund

(As of October 31, 1998)

I. **Membership Status:** Joined August 31, 1962; Article VIII as of June 1, 1996

II. General Resources Account:	<u>SDR Million</u>	<u>Percent of Quota</u>
Quota	118.90	100.0
Fund holdings of currency	125.29	105.4
Reserve position in the Fund	1.34	1.1

III. SDR Department:	<u>SDR Million</u>	<u>Percent of Allocation</u>
Net cumulative allocation	24.46	100.0
Holdings	3.40	13.9

IV. Outstanding Purchases and Loans:	<u>SDR Million</u>	<u>Percent of Quota</u>
Stand-By Arrangements	7.73	6.5
Enhanced Structural Adjustment Facility Arrangements	195.43	164.4

V. **Financial Arrangements:**

Type	<u>Approval Date</u>	<u>Expiration Date</u>	<u>Amount Approved (SDR million)</u>	<u>Amount Drawn (SDR million)</u>
ESAF	April 20, 1998	April 19, 2001	107.01	17.84
ESAF	August 29, 1994	January 12, 1998	130.79	130.79
Stand-By Arrangement	March 2, 1994	August 29, 1994	47.56	30.91
ESAF	November 21, 1988	June 2, 1992	144.67	144.67

VI. **Projected Obligations to the Fund** (SDR million; based on existing use of resources and present holdings of SDRs):

	<u>Overdue 10/31/98</u>	<u>Forthcoming</u>				
		<u>1998</u>	<u>1999</u>	<u>2000</u>	<u>2001</u>	<u>2002</u>
Principal	0.0	13.2	23.9	17.1	21.1	20.8
Charges/interest	0.0	0.8	1.7	1.5	1.4	1.4
Total	0.0	14.0	25.6	18.6	22.5	22.2

VII. Exchange Rate Arrangement

Senegal is a member of the West African Monetary Union (WAMU). The exchange system, common to all members of the union, is free of restrictions on the making of payments and transfers for current international transactions.¹ The union's common currency, the CFA franc, had been pegged to the French franc at the rate of CFAF 1 = F 0.02. Effective January 12, 1994, the CFA franc was devalued and the new parity set at CFAF 1 = F 0.01. On November 9, 1998, the rate of the CFA franc in terms of the SDR was SDR 1 = CFAF 784.39.

VIII. Article IV Consultations

Senegal is on the standard 12-month Article IV consultation cycle. The 1997 Article IV consultation was completed by the Executive Board on July 28, 1997 (EBS/97/130; 7/14/97, and SM/97/189; 7/14/97).

IX. Technical Assistance

Department	Type of Assistance	Time of Delivery	Purpose
FAD	Resident expert	November 1991-January 1994	Reform of customs administration
STA	Staff	July 1992	Compilation of balance of payments
FAD	Headquarters-based consultant	December 1993	Harmonization of indirect taxation in the WAMU
FAD	Staff	November-December 1994	Advising on social safety net issues
FAD	Staff	February-March 1996	Strengthening of tax and customs administration
FAD	Staff/consultants	January-February 1998	Assessment of revenue impact of new external tariff structure (CET). Advise authorities on measures to correct revenue shortfall stemming from the introduction of CET.

X. Resident Representative

Stationed in Dakar since July 24, 1984.

XI. Fourth Amendment of the Articles of Agreement and the Eleventh Quota Review

The authorities have indicated their agreement with the fourth amendment of the articles of agreement and the eleventh quota review. Formal approval of the amendment and the increase in the quota has not yet been made, but the authorities have initiated the necessary procedures. The staff continues to be in communication with the Senegalese authorities with regard to these matters.

¹The staff is keeping under active review all developments in Senegal's exchange system that may involve Fund jurisdiction.

Senegal: Relations with the World Bank Group

(As of September 30, 1998)

Commentary on lending operations

1. The overarching objective of the Bank's assistance strategy for Senegal is to reduce the incidence of poverty and create gainful employment, especially for youth. The approved lending program for the period fiscal year (FY) 1998–2000 under the Country Assistance Strategy (CAS) is almost double the actual FY 1995–97 level; it aims at deepening the structural reforms under way. Achievement of the poverty-reduction objective will be supported by a two-pronged strategy: (a) supporting policies and programs for more rapid and sustained growth; and (b) ensuring the social sustainability of programs. This strategy will be implemented through a combination of structural adjustment lending (energy sector reform and trade liberalization), the sector investment program (SIP), specific investment lending, and appropriate nonlending operations. Analytical work on the transitional costs of trade reform, currently under way, is expected to lead to the preparation of the trade reform adjustment credit planned for fiscal year FY 2000. The ongoing public expenditure review is helping the government improve the size and composition of public expenditures for the period 1998–2000.
2. As of September 30, 1998, the World Bank had approved 112 operations in Senegal for a total amount, less cancellations, of US\$1,808.3 million, consisting of 89 IDA credits (including three Special Fund credits and two Special Facility credits for Africa) for US\$1,679.0 million, and 23 IBRD loans for US\$129.3 million. Past projects have supported agricultural diversification, irrigation, human resources development, institutional development, and expansion of the country's infrastructure, particularly its transport system. In recent years, emphasis has shifted to utilizing and maintaining existing facilities better, and to helping the government resolve some of the key issues related to long-term development prospects. The current portfolio represents a commitment value of about US\$564.8 million, equivalent with undisbursed balance to about US\$395.2 million. The portfolio is composed of 16 operations, involving the agriculture sector, human resources (population/health/nutrition/education), infrastructure/urban development, industry, and private sector development. Four projects were approved in FY 1998: a health project (integrated health sector development), an urban project (urban development and decentralization), an agriculture project (pilot agricultural export promotion), and an energy project (energy sector adjustment).
3. As of September 30, 1998, the International Financial Corporation (IFC) had seven investments totaling about US\$35.3 million. The IFC's current portfolio includes two financial services (Banque de l'habitat du Sénégal and Société générale de crédits automobiles); one fertilizer operation (Industrie chimiques du Sénégal); one brewery operation (Nouvelles brasseries africaines); one leather-manufacturing operation (Sénégal tanerie); and one power project (the first independent power project in Senegal). Two further investments in power and mining, totaling US\$7.23 million, were approved in FY 1998.
4. The Bank and the IFC will continue to work closely and coordinate their respective roles in providing an enabling environment for private sector development in Senegal. The Bank will concentrate on factors that improve the business environment, and the IFC, helped by the opening of its office in Dakar in February 1997, will increase its direct support to the private sector, especially in the power, mining, privatization, and capital market are, as well as to small- and medium-size businesses.

Status of Bank Group Operations in Senegal
(as of September 30, 1998)

IBRD and IDA
(Original amount in millions of U.S. dollars)

			IBRD	IDA	Cancellation	Undisbursed
72 projects closed:			129.3	1117.9		
Active projects						
Project ID	Year	Purpose				
SN-PE-2327	1989	Small Rural Ops III	0.00	16.10	0.00	4.77
SN-PE-2342	1991	Transport Sec. Secal	0.00	65.00	3.73	12.24
SN-PE-2357	1993	Human Res. Dev. II	0.00	40.00	0.00	9.09
SN-PE-35615	1995	Comm. Nutrition	0.00	18.20	0.00	8.72
SN-PE-2376	1995	Priv. Sectr. Cap. Bldg.	0.00	12.50	0.00	6.60
SN-PE-2346	1995	Water Sector	0.00	100.00	0.00	66.84
SN-PE-35621	1996	Pilot Female Lit	0.00	12.60	0.00	7.46
SN-PE-2373	1996	Higher Educ. I	0.00	26.50	0.00	19.74
SN-PE-46768	1997	Sust. Engy. Mgmt.	0.00	5.20	0.00	4.86
SN-PE-44383	1997	Urban Trans. Ref. TA	0.00	6.60	0.00	5.74
SN-PE-41567	1997	Endemic Diseases	0.00	14.90	0.00	13.82
SN-PE-46648	1997	Regional Power	0.00	10.50	0.00	8.89
SN-PE-51610	1998	Ag. Export Prom.	0.00	8.00	0.00	7.84
SN-PE-2369	1998	Integ. Health S. Dev	0.00	50.00	0.00	45.80
SN-PE-51357	1998	Energy Sector Adj.	0.00	100.00	0.00	101.37
SN-PE- 2365	1998	Urban Dev. & Decen.	0.00	75.00	0.00	72.06
Total of active projects			0.00	561.10	3.73	395.84
			Active Projects		Closed Projects	Total
Total Disbursed (IBRD and IDA)			154.68		1,239.81	1,394.49
Of which: repaid			0.00		182.66	182.66
Total now held by IBRD and IDA			561.10		1,006.16	1,567.26
Amount sold			0.00		5.46	5.46
Of which: repaid			0.00		5.46	5.46
Total Undisbursed			395.84		1.00	396.84

IFC: Committed and Disbursed Portfolio
(in millions of U.S. dollars)

FY Approval	Company	Committed				Disbursed			
		Loan	Equity	Quasi	Partic	Loan	Equity	Quasi	Partic
1980	BHS	0.00	0.46	0.00	0.00	0.00	0.46	0.00	0.00
1981/88	ICS	1.80	0.00	0.00	0.00	1.80	0.00	0.00	0.00
1994/96	SOGECA	0.00	0.33	0.00	0.00	0.00	0.28	0.00	0.00
1996/7/8	AEF SERT	0.88	0.43	0.00	0.00	0.88	0.43	0.00	0.00
1997	GTI-DAKAR	14.94	1.68	0.00	12.42	5.49	0.38	0.00	6.62
1997	SEF NBA SA	1.95	0.00	0.00	0.00	1.95	0.00	0.00	0.00
1998	SEF SENTA	0.41	0.00	0.00	0.00	0.41	0.00	0.00	0.00
Total Portfolio		19.98	2.90	0.00	12.42	10.53	1.55	0.00	6.62

Approvals pending commitment:

		Loan	Equity	Quasi	Partic
1998	GTI-DAKAR	3.11	0.22	0.00	0.00
1998	TOLSA-THIES	3.00	0.90	0.00	0.00
Total pending commitment		6.11	1.12	0.00	0.00

Notes: BHS = Banque de l'Habitat du Senegal (financial sector); SOGECA = Société générale de crédit automobile (financial); SERT = Société d'exploitation des ressources thonnières (fishery); SOEX = Société d'exportateurs; ICS = Industries chimiques du Sénégal (chemical); AEF = Africa Enterprise Fund; SEF NBA SA = Small Enterprise Fund for Nouvelles Brasseries Africaines, Société Anonyme (breweries); SEF SENTA = Small Enterprise Fund for Sénégal tanneries (leather); and GTI-DAKAR = Power project.

Senegal: Statistical Issues

Overall, Senegal's economic database is comprehensive, but there are weaknesses in the data on national accounts, production, international trade, the balance of payments, and social indicators. The authorities are continuing their efforts to improve the quality and availability of data. In addition to ensuring that the legal provisions requiring economic agents to report statistical information on a timely basis are enforced, the government intends to implement an action plan to reduce remaining statistical weaknesses in the national accounts, foreign trade, industrial production, and social indicators data. To this end, it will increase the resources allocated to its statistics department and will seek technical assistance from the IMF and from other partners.

Real sector

The national accounts data suffer from serious deficiencies in their compilation and projections. Finalized historical data are based on returns from more than 1,000 firms, a process that typically takes up to three years. Preliminary data are often subject to substantial revisions, partly because they are increasingly based on the use of an input-output simulation model developed with French technical assistance, and less on the analysis of a sample of 300 enterprises. In addition, there are some methodological difficulties in the treatment of indicators of the trend growth in value added in the some sectors. The industrial production index is based on a highly outdated sample, and developments in the tertiary sector, which represents about 60 percent of total value added, are difficult to monitor since the regular preparation of a business survey has been discontinued. A new regional consumer price index, the "harmonized consumer price index" (HCPI) of the West African Economic and Monetary Union, was introduced in January 1998. Based on 1996 weights, the HCPI covers only Dakar. Trade data are incomplete, owing to the time taken by the customs directorate—up to three years—to report trade flows. As of March 1998, the latest exhaustive trade data, covering the period 1992–96 (with provisional data for 1996) were published in December 1997.

Public finances

Government finance statistics (GFS) data are compiled by the Ministry of Finance from the following three sources: the customs, the tax, and treasury directorates. GFS data have not been reported by the authorities to STA for many years. The latest data reported for Senegal were published in the 1990 *Government Finance Statistics Yearbook* and covered consolidated central government through 1984. However, comprehensive fiscal data are provided regularly without delays to AFR on a quarterly basis.

Monetary data

Monetary data for Senegal are prepared by the national agency of the Central Bank of West African States (BCEAO). Outstanding data problems include the lengthy time period needed to finalize the data and some inconsistencies between the balance sheets of the BCEAO and the commercial banks.

Monetary data have recently been revised to exclude assets and liabilities of banks that have ceased banking operations. In addition, there have been recent revisions to the classification of foreign assets, and to the classification of government and nongovernment bank deposits. These revisions were based on the returns generated by the accounting system for commercial banks introduced by the BCEAO on January 1, 1996. The delays the new system caused in the compilation of the accounts have been somewhat reduced.

Balance of payments data

Balance of payments data for Senegal are compiled by the BCEAO national agency. There are several shortcomings in the compilation procedures: (a) trade data for goods other than the main export and import categories are incomplete and reported with lengthy delays; (b) bank settlement reports are not processed by the BCEAO; (c) surveys sent to companies are often inaccurately answered or unanswered; and (d) there is little information on private capital flows. Efforts are being undertaken to address these issues. A long-term technical advisor has been posted at BCEAO headquarters to provide technical assistance to all BCEAO member countries. Enhancing the capacity of the computerized system to compile customs data should also help reduce delays in reporting.

Senegal: Core Statistical Indicators

(As of October 31, 1998)

	Exchange Rates	International Reserves	Central Bank Balance Sheet	Reserve/ Base Money	Broad Money	Interest Rates	Consumer Price Index	Exports/ Imports	Current Account Balance	Overall Government Balance	GDP/GNP	External Debt
Date of latest observation	Current	09/98	09/98	09/98	09/98	09/98	08/98	06/98	1997	06/98	1997	09/98
Date received	Current	10/98	10/98	10/98	10/98	10/98	09/98	09/98	09/98	08/98	09/98	09/98
Frequency of data	Daily	Monthly	Monthly	Monthly	Monthly	Variable	Monthly	Quarterly	Annually	Quarterly	Annually	Quarterly
Frequency of reporting	Monthly	Monthly	Monthly	Monthly	Monthly	Weekly	Monthly	Quarterly	Semiannually	Quarterly	Semiannually	Quarterly
Source of update	EIS 1//TRE	BCEAO 2/	BCEAO 2/	BCEAO 2/	BCEAO 2/	BCEAO 2/	Ministry of Finance	BCEAO 2/	BCEAO 2/	Ministry of Finance	Ministry of Finance	Ministry of Finance
Mode of reporting	On-line	Staff	Staff	Staff	Staff	Staff	Staff	Staff	Staff	Staff	Staff	Staff
Confidentiality	No	3/	3/	3/	3/	No	No	3/	3/	3/	3/	3/
Frequency of publication	Monthly	Monthly	Monthly	Monthly	Monthly	Monthly	Monthly	Annually	Annually	Annually	Semiannually	Annually

1/ IMF Economic Information System (EIS).

2/ Central Bank of West African States (BCEAO).

3/ Preliminary data for staff use only; actual data unrestricted.

